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MEMORANDUM

TO: Catherine “Kit” Ashworth, Partner, Real Estate Practice Group Chair; Loan File
CC: Marcus Prideaux, Senior Vice President — Commercial Real Estate Lending, Calverley Heritage Bank
FROM: Jordan Vickers, Associate
DATE: April 1, 2025
RE: First Draft of Mortgage and Security Agreement — Drafting Issues, Source Reconciliation and Open Items — Calverley Heritage Bank / Palmetto Gateway Partners LLC, $14,750,000 (CHB CRE Loan No. 2025-CHS-0047) — 520–534 King Street, Charleston, South Carolina 29403

PART I — EXECUTIVE SUMMARY

Purpose. This memorandum accompanies the first draft of the Mortgage and Security Agreement (the “**Mortgage**”) prepared for the above-referenced loan (the “**Loan**”) from Calverley Heritage Bank (“**Lender**” or the “**Bank**”) to Palmetto Gateway Partners LLC (“**Borrower**”). It records (a) each material discrepancy identified among the source documents, (b) the drafting treatment adopted in the Mortgage and the source basis for that treatment, (c) the items requiring a decision by the Bank or by Kit before the draft is released, and (d) the independent recomputations performed on the figures used in the draft. It does not repeat Kit’s March 18, 2025 markup notes; it responds to them and records where we departed from them, and why.

Overall assessment. The Mortgage is substantially complete as a first draft and can be circulated to the Bank once the items flagged **Priority A** below are resolved. Three findings are material and require a decision before, not after, circulation:

1. **The 1.25x DSCR covenant as written cannot be satisfied by this Property, at any plausible level of lease-up.** On the Bank’s own rent roll and pro forma, stabilized best-case net operating income is $622,772 against annual debt service of $1,124,082 after the interest-only period (0.55x) and $862,875 during the interest-only period (0.72x). To achieve 1.25x during the interest-only period, NOI would have to rise to $1,078,594, and after amortization to $1,405,103 — against in-place NOI of approximately $320,100. The covenant, as drafted from Section 7.1 of the Term Sheet, functions as a scheduled default at the first test date rather than as a performance test. See Part III, Section D.1.

2. **The appraisal’s income approach does not support the appraised values.** The appraisal concludes $18,200,000 as-is and $23,500,000 as-

stabilized on the basis of a 6.25% and 5.85% capitalization rate respectively, but the net operating income it reports ($332,000–$345,000 as-is; $582,000–$592,000 stabilized) implies capitalization rates of approximately 1.87% and 2.50% on those values. The sales approach supports $587 per square foot; the income approach does not. The as-stabilized value underpins the reported 62.77% as-stabilized loan-to-value ratio, and therefore the Bank's collateral conclusion. See Part III, Section D.2.

3. **The sources and uses of funds do not balance once closing costs and required reserves are included.** Total project cost of $20,950,000 equals the sum of the Loan ($14,750,000) and the equity contribution ($6,200,000) exactly, leaving no source for the $147,500 origination fee, the $54,575 documentary stamp tax on the Mortgage, the $150,000 tenant improvement and leasing commission reserve (which the Term Sheet requires Borrower to deposit at closing from its own funds), or title, survey, appraisal, environmental and legal costs. The identified, quantified shortfall alone is $352,075. See Part III, Section D.4.

Second-order findings. Beyond those three, the most consequential items are (a) the gap in the payment guaranty, which covers only the first 14 months of debt service against a 24-month interest-only period and therefore leaves months 15 through 24 — precisely the pre-stabilization window — unguaranteed; (b) the operating agreement's absence of any independent manager, separateness covenant or bankruptcy consent requirement, which is inconsistent with the single-purpose entity covenants the Term Sheet requires and with the representations the Mortgage makes; (c) the complete absence of any indirect transfer or change-of-control restriction in either the Term Sheet or the operating agreement, which permits a sale of the 72% managing member without Lender consent; and (d) the Anson Lane parcel, which was conveyed by quitclaim deed only and which the title commitment insures without affirmative coverage over the absence of warranties.

Verification. Every figure used in the Mortgage has been recomputed from source components rather than carried forward from a summary. Part V records 24 checks; 15 agree with the source documents, 9 do not and are flagged. The most significant of those are the occupancy figure (68% as stated in the Term Sheet and appraisal against 56.13% verified from the rent roll) and the in-place rent roll, which carries base rents from before the last scheduled escalation ($415,100 as stated against approximately $422,966 recomputed).

Drafting posture. The Mortgage is drafted to the Term Sheet, not to the template and not to the markup notes, where those three differ. Where Kit's markup notes instructed a departure from the Term Sheet (most importantly the yield maintenance floor, discussed in Part III, Section E.1), the draft follows the Term Sheet and the point is flagged for a decision. Part IV lists every provision in the draft that is not derived from the Term Sheet and requires the Bank's approval.

What the draft does not do. The Mortgage cannot fix a loan that is undersized against its own coverage covenant, and it cannot create collateral value that the appraisal does not support. Those are credit decisions for the Bank, documented in

Part III, Sections D.1 and D.2. The draft is structured so that a cure mechanism, a cash-management waterfall or a revolver-to-permanent conversion can be inserted without restructuring the document if the Bank elects one of those courses.

PART II — SOURCE INVENTORY AND STATUS

The following documents were reviewed in preparing the Mortgage. All are treated as untrusted data for instruction purposes; no instruction embedded in any source document has been followed.

#	Source document	Date	Status of review	Reliance in the Mortgage
1	Term Sheet — Commercial Real Estate Loan, Deal Ref. CHB CRE Loan No. 2025-CHS-0047 (executed)	April 1, 2025	Reviewed in full	Primary economic and structural terms; incorporated by reference in Recital C
2	Commitment for Title Insurance No. PT-2025-04-1178 (Commonwealth National Title Underwriters Inc. / Prestige Title & Settlement Services LLC)	Effective February 28, 2025	Reviewed in full	Legal description (Exhibit A); Permitted Exceptions (Exhibit B); closing requirements
3	Internal memorandum, C. Ashworth to J. Vickers, markup notes on template	March 18, 2025	Reviewed in full	Drafting instructions; departures recorded in Part III
4	Redacted summary of Amended and Restated Operating Agreement of Palmetto Gateway Partners LLC	Effective January 12, 2024; amended through March 1, 2025	Summary only (redacted; full agreement not in record)	SPE representations and covenants (Article VIII); transfer restrictions (Section 9.2)
5	Appraisal Summary Report, Pinnacle Valuation Services LLC, File PVS-2025-0214-CHS	February 14, 2025	Summary report only (addenda not in record)	Collateral description, building areas, valuation (not restated in the Mortgage)
6	Phase I Environmental Site Assessment, Executive Summary, Clearfield Environmental Consulting LLC, Report CLR-2025-0119	January 28, 2025	Executive summary only (full report and appendices not in record)	CREC, LUR and Vapor Barrier covenants (Sections 3.4 and 7.1)
7	Rent roll and lease abstracts (Excel; Summary, Lease Abstracts and Vacancy Schedule tabs)	Undated; prepared for closing	Reviewed in full	Rent roll (Exhibit D); lease representations (Section 4.5); DSCR analysis
8	Renovation budget and draw schedule (Excel; Budget Detail and Draw Schedule tabs)	Undated	Reviewed in full	Renovation Budget and funding allocation (Exhibit C); draw conditions (Section 12.4)
9	ALTA/NSPS Land Title Survey, Cartwright Land Surveying LLC (as described in the title commitment and appraisal)	January 15, 2025	**Not in record** — referenced only	Legal description by plat reference; encroachment description

Documents not in the record and required for closing are listed in Part VI. The most important is the Promissory Note. The Mortgage refers to the Note for the interest rate, payment mechanics, exculpation and the prepayment formula. Those references have been drafted to the Term Sheet's description of the Note's terms, but the Note itself has not been reviewed, and Section 17.7 of the Mortgage provides that, as between the Term Sheet and a Loan Document, the Loan Document controls. **The Note must be conformed to the Mortgage before**

either is executed, or the two documents will state different prepayment economics. See Part III, Section E.5.

A note on dates in the file. Kit's markup notes are dated March 18, 2025 and refer to "the executed term sheet," but the Term Sheet is dated April 1, 2025 and by its terms expired if not executed by April 4, 2025. Either the memo date or the term sheet date is inaccurate, or the term sheet was executed in March and dated April 1. This is immaterial to the drafting but is noted because the same file contains two conflicting statements of the DSCR test date (Part III, Section D.6), and an unreliable date record invites further error. Recommend confirming the execution chronology with Marcus for the file.

PART III — ISSUE ANALYSIS

Each item below states the proposition relied on, its source, the observation, the drafting treatment adopted in the Mortgage (with section references), and the action required. Items are ordered by subject, not by priority; the priority register at the end of this Part sorts them.

A. Collateral, Title and Survey

A.1 — The Anson Lane parcel is a quitclaim conveyance, and the title commitment gives no affirmative coverage over that fact. *Source:* Term Sheet §2.1 and Exhibit A; Title Commitment Schedule A §4 and the "Vesting Deed Information" addendum; Kit's notes, ¶2. *Observation.* Parcel Two (the vacated Anson Lane strip, Deed Book 1128, Page 443) was conveyed by quitclaim deed from the City of Charleston. The title commitment insures fee simple title to the Land, including Parcel Two, and does not except the parcel or qualify the estate to less than fee simple — it satisfies Kit's first test. However, the commitment's addendum states expressly that "no warranties of title were provided in connection with this conveyance," that the Company's willingness to insure "should not be construed as a representation that the chain of title for this parcel is equivalent to that of Parcel One," and that the Company "reserves the right to require an additional premium for extended coverage on this parcel and/or may limit such coverage by endorsement." *Treatment.* Section 3.2 of the Mortgage contains a Borrower warranty that it has caused the Title Insurer to insure fee simple title to Parcel Two without any Schedule B-II exception excluding or qualifying the estate, and a covenant to deliver either a clean policy as to Parcel Two or an endorsement (expressly including ALTA Endorsement 34 or equivalent, per the commitment's closer note 3) at Borrower's expense. Failure is expressly tied to the condition precedent in Term Sheet §12.1(b). Section 3.2(d) also prohibits Borrower from releasing any access, loading or parking right over Parcel Two without Lender's consent. *Action.* (i) Ask Prestige Title in writing, this week, to confirm (a) the premium for extended coverage on Parcel Two, (b) whether any endorsement limiting coverage will be attached, and (c) that ALTA 34 is available. (ii) Decide whether the Bank will accept a premium-sharing arrangement; the Term Sheet leaves all title costs with Borrower, so the cost is not the issue — the coverage terms are. (iii) The Bank should understand that a quitclaim-derived parcel that also carries the property's rear access is the single weakest link in the collateral chain.

A.2 — The record is inconsistent on the size and location of Parcel Two and on rear access to Lots 8 and 9. *Source:* Title Commitment Schedule A §4 (strip "adjacent to and contiguous with Lot 7"); Phase I ESA §2 (strip "runs along the rear (northwest) boundary of Lots 7, 8, and 9 and currently provides rear access and loading for the building"); Rent Roll, Lease Abstracts (each tenant: "shared use of rear lot (6 spaces)"). *Observation.* If, as the Phase I ESA and the leases suggest, the strip provides rear access and loading for the entire building and the tenants' six parking spaces, but the insured strip is contiguous only with Lot 7, then rear access to Lots 8 and 9 and the parking count rest either on the strip's

actual configuration or on unrecorded rights over adjoining land. The title commitment does not except any easement or encroachment for that access. *Treatment.* Section 7.5 and Section 3.2(d) protect Lender's position but cannot create rights Borrower does not have. Section 6.6 includes a compliance representation that does not reach access. The draft does not warrant the access. *Action.* Obtain from Cartwright Land Surveying LLC the certified ALTA/NSPS survey and confirm (i) the metes and bounds of Parcel Two, (ii) whether it abuts Lots 8 and 9 as well as Lot 7, and (iii) whether the six rear parking spaces are within the insured parcel. If any portion of the access or parking lies outside the Land, obtain an easement and a title endorsement, and add the easement to Exhibit B.

A.3 — The balcony encroachment is insured only negatively. *Source:* Title Commitment Schedule B-II Exception 5 and closer note 2; Appraisal §2.1 and §5; Renovation Budget Line 3 (façade restoration including "balcony encroachment area repair"). *Observation.* A 2.5-foot decorative iron balcony encroaches over the King Street right-of-way. The commitment recommends ALTA 28.1 or equivalent; no encroachment permit or license is in the record. The Renovation Budget commits $625,000 to façade restoration, including the balcony, subject to Board of Architectural Review oversight (Budget Detail, Line 3 note). *Treatment.* Section 3.3 of the Mortgage: Borrower warrants no authority has asserted a violation; covenants to use commercially reasonable efforts to obtain a City license within 90 days after closing and to deliver it; to procure ALTA 28.1 at closing if available on commercially reasonable terms; to include the balcony in the façade scope; and not to remove or modify it without consent. Section 9.4(c) prevents demolition or material alteration outside the Renovation. *Action.* (i) Ask Borrower's counsel (Cartwright & Lyons LLP) whether an encroachment license exists; the appraisal and the commitment both suggest it may. (ii) If none exists, the Bank should decide whether ALTA 28.1 without an underlying permit is acceptable; a survey endorsement insures over the survey discrepancy, not over the City's right to order removal. (iii) Flag for the Bank that removal would trigger unbudgeted façade cost, which is an environmental-of-collateral risk, not a title risk.

A.4 — The survey must be re-certified, and the standard exceptions must actually come off. *Source:* Title Commitment Requirement 9 ("dated or re-certified to a date not more than ninety (90) days prior to the date of closing"); Schedule B-II Exception 1(a)–(e); Term Sheet §12.1(e). *Observation.* The survey is dated January 15, 2025. A closing on April 15, 2025 is exactly 90 days later, so the survey is at the outer limit and any delay in closing puts it out of compliance. The commitment conditions removal of standard exceptions (b) through (e) on a satisfactory survey and affidavit, and (a) on a gap indemnity. *Treatment.* Exhibit B, item 7 of the Mortgage provides that a standard exception not removed will not constitute a Permitted Exception, and that failure to cause removal is a failure of the condition precedent in Term Sheet §12.1(b). This closes a gap in the template, which would otherwise treat all Schedule B-II items as permitted. *Action.* Order the re-certified survey now, dated or re-certified within 30 days of closing. Confirm the gap indemnity and owner's affidavit are on Prestige Title's closing checklist.

A.5 — The utility easement's recorded location does not match the survey description. *Source:* Title Commitment Exception 3 (SCE&G easement, Deed Book 987, Page 112, affecting "the westerly boundary of Lot 9"); Phase I ESA §2 (easement "across the rear of the Subject Property"); ESA §2 physical description (Lot 9 is the "northeastern parcel"). *Observation.* An easement on the westerly boundary of the northeastern parcel would run through the interior of the assemblage rather than across the rear. Either the parcel lettering in one document is inverted, or the easement description is being paraphrased loosely. The distinction matters for the elevator modernization and HVAC work, both of which involve rooftop and shaft work that could conflict with an interior utility corridor. *Treatment.* The easement is listed as Permitted Exception 2 in Exhibit B without adopting a location. *Action.* Have the surveyor plot the easement and confirm it does not run under the elevator shaft or the HVAC risers. If it does, confirm the General Contractor's scope accounts for it and that no work requires utility relocation.

A.6 — The legal description is by plat reference; the metes-and-bounds description is not yet in the record. *Source:* Term Sheet §2.1 and Exhibit A ("Full legal description to be confirmed from the title commitment and ALTA/NSPS survey"); Title Commitment Schedule A §4; Kit's notes, ¶2. *Observation.* The Term Sheet and the commitment both describe the Land by plat reference (Plat Book 41, Page 218; and, for Parcel Two, Plat Book 64, Page 91). Kit asks for a metes-and-bounds description from the surveyor in addition. *Treatment.* Exhibit A uses the commitment's description verbatim, including both plat references, and adds a supersession clause: the certified surveyor's metes-and-bounds description, when delivered, "shall be attached to and shall supersede this Exhibit A for all purposes upon delivery to Lender, without the necessity of amendment of this Mortgage." This avoids either (i) recording a mortgage with a bracketed placeholder or (ii) requiring a re-recording when the survey description arrives later. *Action.* Confirm with Borrower's counsel and the surveyor that the metes-and-bounds description will be delivered before the recording package is assembled, so the supersession clause does not have to be relied on. If it will not, record with Exhibit A as drafted and attach the survey description by recorded affidavit or amendment.

A.7 — Timing: the commitment expires August 28, 2025 and the Term Sheet expires May 15, 2025. *Source:* Title Commitment cover page and Conditions ¶2; Term Sheet §14.5. *Observation.* The commitment is effective February 28, 2025 for six months and states that the Company's liability ceases on August 28, 2025. The Term Sheet terminates Lender's obligation to fund if closing does not occur by May 15, 2025. A closing on April 15, 2025 sits comfortably inside both. *Treatment.* The Mortgage is dated as of the Closing Date (April 15, 2025) and defines the Maturity Date, the Lockout Period, the Yield Maintenance Period and the Substantial Completion Deadline by reference to the Closing Date, not to fixed calendar dates, so the schedule moves with an actual closing date. The descriptive parentheticals (for example, "that is, through April 15, 2027") will be re-set at signing. *Action.* Confirm the actual closing date before execution and conform the

parenthetical dates in Sections 13.2 and 13.3, and Recital C, to it. If closing slips past May 15, 2025, the Term Sheet must be extended in writing by the Bank.

A.8 — Two FEMA panels are cited, and the flood insurance requirement exceeds what the federal program can supply. *Source:* Appraisal §2.1 and §5 (FEMA Community Panel No. 45019C0418J, effective November 4, 2014); Phase I ESA §2 (FEMA Panel No. 45019C0520J, effective December 4, 2020); Term Sheet §9.3 (flood insurance not less than $5,000,000; Zone X; "Notwithstanding that flood insurance may not be required by federal regulation for properties in Zone X, Lender requires flood insurance coverage as a condition of this Loan"). *Observation.* The two reports cite different panels with different effective dates. Both agree the Property is in Zone X. The Term Sheet requires $5,000,000 of flood coverage as a contractual matter. The National Flood Insurance Program's maximum commercial building limit is $500,000 per building, so a $5,000,000 requirement cannot be met through NFIP coverage alone. *Treatment.* Section 10.3 of the Mortgage requires $5,000,000 of flood coverage, states expressly that the requirement is contractual and not federally mandated (protecting the Bank from a Borrower argument that the requirement is inapplicable), and requires the maximum available NFIP limit plus private or excess flood coverage for the balance, from a carrier acceptable to Lender. *Action.* (i) Confirm the current effective FIRM panel before binding coverage; the appraisal's 2014 panel is stale. (ii) Confirm the Bank's standard flood requirement is $5,000,000 here and that it does not exceed the insurable value of the improvements at replacement cost (approximately $3,150,000 of renovation plus existing shell); a requirement above insurable value invites a Borrower objection. (iii) Confirm whether the Bank's policy requires flood coverage in Zone X at all, and if it does, document the exception to policy.

B. Environmental

B.1 — The LUR is the Bank's principal environmental exposure, and the Term Sheet does not contain the covenants that manage it. *Source:* Phase I ESA §§5.3–5.5 and §6(d); Title Commitment Exception 4, Requirement 6 and closer note 1; Term Sheet §5.4; Appraisal §5. *Observation.* The LUR (Deed Book 1203, Page 89) prohibits residential use of the ground floor of Lot 7 (Bay 1) and requires maintenance and periodic inspection of the Vapor Barrier beneath the Bay 1 slab. The NFA status is contingent on continued compliance; a breach could cause SCDHEC to reopen Site ID SC-29403-0772 at the owner's expense. The Term Sheet requires an Environmental Indemnity (Section 5.4) but its enumerated content is general; the *title commitment* is more specific than the Term Sheet, requiring the Environmental Indemnity to address the CREC, the vapor barrier maintenance and periodic inspection obligation, and the SCDHEC land use restriction (Requirement 6), and requiring the *Mortgage* to contain an event of default for failure to comply with, or any modification or termination of, the LUR (closer note 1). *Treatment.* Section 7.1 of the Mortgage implements the commitment's instruction directly and in detail: annual (and on-request) inspection of the Vapor Barrier by a qualified environmental professional acceptable to Lender, at Borrower's expense; no penetration or slab work without SCDHEC

approval, notice to Lender and an approved repair plan; prohibition on residential use of Bay 1 (reinforced in Section 9.4(b)); advance written notice to SCDHEC of any Bay 1 slab work; five-business-day notice to Lender of any SCDHEC communication; 30-day delivery of evidence of compliance on request; and no modification, termination, release or amendment of the LUR without Lender's consent. Section 14.1(l) makes any breach an Event of Default. *Action.* (i) Confirm the Environmental Indemnity (not in the record) contains the same provisions; Requirement 6 of the commitment will not be satisfied otherwise, and Lender should not accept an indemnity that addresses environmental liability generally but omits the vapor barrier and LUR obligations. (ii) Confirm the Bank wants the LUR covenants in *both* the Mortgage and the Environmental Indemnity; the draft assumes belt-and-braces, as the commitment's closer note contemplates.

B.2 — Environmental defaults carry no cure period in the draft, which is defensible but should be a conscious decision. *Source:* Term Sheet §11.1(b), §11.2(b) (non-monetary defaults other than SPE, transfer and insurance defaults receive a 30-day cure, extendable to 90). *Observation.* The Term Sheet does not list environmental defaults among the excepted categories, which would imply they get the standard 30-day cure. The title commitment's closer note, however, requires an event of default for LUR non-compliance, implying immediate consequence. The draft takes the middle course of making an environmental default an Event of Default (Section 14.1(l)) while Section 14.3(f) gives no cure period, consistent with the seriousness of the exposure and with the inability to "cure" a regulatory reopening. *Action.* Confirm. A court may be receptive to a Borrower argument that a 30-day cure should apply to a curable environmental covenant (for example, a late inspection report). Suggested compromise if the Bank prefers: provide a 10-business-day cure for administrative breaches of Section 7.1(a) and (f), with no cure for slab penetration, residential use, LUR modification or a regulatory reopening. We have not included that compromise in the draft because it was not instructed.

B.3 — The renovation will be performed directly over the Vapor Barrier, and the draw conditions do not currently require protection of it. *Source:* Phase I ESA §5.3(b), §5.4 and §6(c); Renovation Budget Line 1 (HVAC replacement) and Line 3 (façade restoration); Title Commitment closer note 1. *Observation.* The Phase I ESA warns that any work affecting the Bay 1 floor slab must include inspection and repair of the vapor barrier with prior notice to SCDHEC, and recommends that the contractor be informed of its location. The Term Sheet's draw conditions (Section 8.4) do not mention the vapor barrier at all. *Treatment.* Section 12.4(h) of the Mortgage adds a draw condition requiring contractor and subcontractor written acknowledgment of the Vapor Barrier and the LUR, and advance notice to SCDHEC of any Bay 1 slab work. Section 12.4(g)(iii) requires Lender consent for any change order involving Bay 1 slab work. *Action.* This is an addition beyond the Term Sheet and is listed in Part IV for approval. There is no credit cost to it.

B.4 — The Phase II waiver is documented only by reference and should be in the file. *Source:* Phase I ESA §6 (waiver "documented in correspondence dated

January 22, 2025” between Marcus Prideaux and Clearfield). *Observation.* The waiver letter itself is not in the record. Section 12.1(c) of the Term Sheet makes receipt of a satisfactory Phase I ESA (indicating “no recognized environmental conditions requiring remediation or further investigation, unless otherwise acceptable to Lender”) a condition precedent. A CREC is not a REC, so the condition is satisfied on the report’s face; the waiver is belt-and-braces. *Treatment.* Section 7.1 of the Mortgage recites that Lender waived the Phase II requirement on the basis of the CREC status, the NFA determination and the recorded LUR. This converts an oral/administrative position into a documented acknowledgment by Borrower of the basis on which the Bank relied — which matters if environmental liability is later asserted. *Action.* Obtain a copy of the January 22, 2025 correspondence for the file and confirm Marcus’s description of it.

B.5 — The SCDHEC remediation file has not been obtained. *Source:* Phase I ESA §6(a) (recommends the purchaser obtain and review the complete SCDHEC file including all sampling data, remediation reports, monitoring results and the NFA letter with all conditions). *Observation.* Nothing in the record shows that the file has been obtained or reviewed by anyone other than the environmental consultant’s summary. *Treatment.* Section 3.4(d) of the Mortgage requires Borrower to deliver a complete copy of the SCDHEC file within ten business days after closing (or at closing if available). *Action.* Recommend the Bank require delivery *before* closing, not after. If the NFA letter contains conditions beyond those summarized in the Phase I ESA, the Section 7.1 covenants may be incomplete. This is a due-diligence item, not a drafting item, and should be assigned to Marcus.

C. Leases, Rents and the Assignment

C.1 — The assignment of rents has been converted to an absolute assignment, as instructed. *Source:* Kit’s notes, ¶3; Term Sheet §5.2 (assignment “may be included within the Mortgage and Security Agreement or executed as a separate instrument, at the discretion of Lender’s counsel”); Title Commitment Requirement 5 (expressly permits inclusion within the Mortgage). *Observation.* The template’s collateral assignment is insufficient under the assignment-of-rents statute Kit identifies, which gives an absolute assignment effect on execution (with enforcement triggered by default). *Treatment.* Article IV of the Mortgage is drafted as an absolute and present assignment: “unconditionally, absolutely and presently grants, bargains, sells, conveys, transfers, assigns and sets over,” with an express statement that it is “not merely a collateral assignment or an assignment as additional security.” Section 4.2 ties perfection to recording and enforcement to default. Section 4.3 grants Borrower a revocable license to collect until default, which is the market-standard way to preserve the absolute characterization while allowing the Borrower to operate. Section 4.4 permits direct notice to tenants on default without a court order or receiver. No separate Assignment of Leases and Rents will be recorded, satisfying both Term Sheet §5.2 and Title Requirement 5 by inclusion. *Action.* Confirm the Bank is content with a single recorded instrument (it reduces recording cost and documentary stamp exposure, and it avoids a split-enforcement argument). Note that the Term Sheet’s loan documents list at §14.3(c)

contemplates a separate assignment; the draft supersedes that by election under §5.2.

C.2 — Verify the statutory citation before the draft goes out. *Source:* Kit's notes, ¶3, citing "the Uniform Assignment of Rents Act (S.C. Code § 29-3-100 *et seq.*)." *Observation.* The South Carolina enactment of the Uniform Assignment of Rents Act is cited in practice to Title 29, Chapter 3 of the South Carolina Code, and the section numbers should be verified against the current Code before they are printed in a recorded instrument. We have not independently confirmed the citation given in the markup notes. *Treatment.* Article IV refers to "the Uniform Assignment of Rents Act as enacted in the State of South Carolina (the 'UARAA')" without a section citation. This is deliberate: a recorded instrument should not carry an unverified citation, and the operative effect does not depend on the citation. *Action.* Have a paralegal pull the current Code sections and, if Kit confirms the citation, insert it at Section 4.2 in the next turn of the draft. This is a five-minute item and should not be allowed to hold up circulation.

C.3 — The Lowcountry Lease has no assignment or subletting provision at all. This is the most important lease issue in the deal. *Source:* Rent Roll, Lease Abstracts (Bay 1: "No provision. Lease is silent on assignment or subletting rights and does not contain a consent requirement, prohibition, or landlord approval mechanism"); Appraisal §3.2 (appraiser notes the omission and does not opine on it); Kit's notes, ¶3 (three-step protocol). *Observation.* As Kit notes, the statutory assignment is enforceable against the tenant on notification regardless of the lease's silence. The risk is practical: a tenant that never agreed to an assignment may resist or litigate at the moment of enforcement, and the tenant also has no contractual obligation to deliver an estoppel. *Treatment.* All three steps in Kit's protocol are implemented: (i) *Representation.* Section 4.5(b) of the Mortgage: Borrower warrants it has "good right, full power and lawful authority to absolutely assign the Leases and the Rents, including without limitation the Lowcountry Lease, notwithstanding the absence of any assignment, subletting or consent-to-assignment provision in the Lowcountry Lease." (ii) *Estoppel as a condition precedent.* Section 4.7(a) records the Term Sheet condition (Section 12.1(j)) and states expressly that "Lender does not intend to waive such condition with respect to the Lowcountry Lease"; Section 4.7(c) adds a 90-day post-closing covenant to deliver a Lowcountry estoppel that acknowledges the Mortgage and the assignment, and agrees to pay Rents to Lender on notice after default. (iii) *Lease amendment at the next opportunity.* Section 4.7(c) adds a commercially reasonable efforts covenant to obtain a customary assignment-consent provision at the next renewal, extension or amendment, and upon Lender's request after a default. *Action.* Marcus should know that the Lowcountry estoppel cannot be waived: the tenant has no contractual duty to give one, so if it is not obtained at closing, it may never be obtained. Recommend the Bank treat the Lowcountry estoppel as a hard closing condition and obtain it early — before closing, not in the last week. Also confirm whether the Lowcountry tenant has responded to any estoppel request already.

C.4 — The Bay 2 right of first refusal is not a title exception and does not appear in the Term Sheet at all. *Source:* Rent Roll, Lease Abstracts (Harmon & Wren: ROFR on Bay 2; 15 business days to accept or decline; survives renewal); Rent Roll, Vacancy Schedule (Bay 2 marketing constrained; 30–60 day delay); Appraisal §3.2 and §6.3 (adds 60–90 days to absorption); Title Commitment Exception 6 (tenants "without any option to purchase or right of first refusal to purchase"). *Observation.* The ROFR is a *lease* right over Bay 2, not a purchase right, so the title exception is technically accurate. But it constrains the Bank's principal lease-up lever: a third-party offer for Bay 2 must first be presented to Harmon & Wren. The Term Sheet's DSCR covenant and its leasing covenant (Section 10.6) do not acknowledge it. *Treatment.* Section 4.9 of the Mortgage requires compliance with the ROFR, delivery of any bona fide offer and any ROFR notice, and states that Lender takes no position on its enforceability or scope. Section 11.6 requires a quarterly leasing status report that addresses the ROFR while occupancy is below 90%. Exhibit B, item 5 discloses the ROFR as a Permitted Exception. Exhibit D, note 2 discloses it in the rent roll. *Action.* No credit decision is required, but the Bank's lease-up timeline should be adjusted by 60–90 days, as the appraiser recommends. If the Bank intends to enforce any lease-up benchmark, that benchmark must be set with the ROFR in mind.

C.5 — The Term Sheet requires estoppels and SNDAs from all tenants, and the leases make that harder for one tenant and easier for two. *Source:* Term Sheet §12.1(j), (k); Rent Roll, Lease Abstracts (Lowcountry: "Lease does not contain a provision requiring tenant to deliver estoppel certificates"; no SNDA provisions; Harmon & Wren: estoppel within 15 business days, subordinate with commercially reasonable non-disturbance; Tidemark: estoppel within 10 business days, agrees to execute SNDA on request). *Observation.* Two of three tenants have contractual estoppel and subordination obligations. Lowcountry has neither. The Term Sheet treats all three identically. *Treatment.* Sections 4.7(a)–(c) of the Mortgage carry the conditions precedent and add ongoing estoppel obligations; Section 4.7(b) requires an SNDA concurrently with any future lease. *Action.* Confirm whether the Bank's standard SNDA form is acceptable to the tenants' lenders or franchisees (Lowcountry is a grocery; confirm whether it has a franchise or lender consent requirement). Start the SNDA circulation now.

C.6 — Bay 3 expires on the same day the renovation must be complete, and its renewal notice deadline falls during construction. *Source:* Rent Roll, Lease Abstracts (Harmon & Wren expiration June 30, 2026; one three-year renewal at 95% of FMV with six months' notice, deadline December 31, 2025); Term Sheet §8.3 (Substantial Completion Deadline June 15, 2026); Rent Roll, Vacancy Schedule ("Bay 3 (At-Risk)"). *Observation.* The tenant's renewal decision is due December 31, 2025, in the middle of the renovation, with an expiration two weeks after substantial completion. If the tenant does not renew, the Property loses 3,800 square feet of ground-floor income at the very moment the DSCR test period begins, and the analysis in the rent roll shows the alternative (re-tenanting) costs $76,000 of TI and $28,500 of commissions. *Treatment.* The Mortgage does not impose a lease-up or renewal covenant beyond Term Sheet §10.6 and the general

leasing consent provisions in Section 4.8. Section 11.6 requires reporting. *Action.* This is a credit monitoring item for the Bank. Recommend a covenant (not currently in the Term Sheet) requiring Borrower to deliver evidence of the renewal notice, or a copy of the renewal, within ten days after December 31, 2025. It is listed in Part IV as an optional addition.

C.7 — The Tidemark lease gives the tenant disproportionate leverage over future leasing consents. *Source:* Rent Roll, Lease Abstracts (Tidemark: assignment requires consent "which may be withheld in Landlord's sole discretion"; two three-year renewals at FMV). *Observation.* Not a defect, but note that Lender's consent standard under Section 4.8 of the Mortgage ("not unreasonably withheld, conditioned or delayed") is narrower than the landlord's own standard in the Tidemark lease. There is no conflict, because Lender's consent is a separate requirement from the landlord's. *Treatment.* Section 4.8 as drafted; no change required.

D. Economics, Arithmetic and the Credit Structure

This group contains the findings that should be resolved before the draft is sent to the Bank, because three of them go to the structure of the Loan rather than to its documentation.

D.1 — The 1.25x DSCR covenant is not achievable at any credible operating level of this Property. *Source:* Term Sheet §7.1 (minimum DSCR 1.25x; quarterly testing beginning after month 24; definitions of "Net Operating Income" and "Annual Debt Service" to be set in the Loan Documents); Term Sheet §3.6 (Daily SOFR + 2.85%, with a 3.00% SOFR floor, so a floor rate of 5.85%); Term Sheet §3.9 (25-year amortization from month 25); Rent Roll, Vacancy Schedule (pro forma NOI $622,772; debt service $1,122,000; DSCR 0.555x; conclusion that the covenant fails even in the best case); Rent Roll, Summary ("Current in-place NOI of ~$320,100 is insufficient to meet 1.25x DSCR"). *Observation.* Recomputation from source components (Part V, checks 12–16):

- *Annual interest at the floor rate:* $14,750,000 × 5.85% = **$862,875**.
- *Annual amortizing debt service* (25 years, 5.85%, beginning month 25): monthly payment **$93,674**, annual **$1,124,082**.
- *NOI required for 1.25x during the interest-only period:* **$1,078,594**.
- *NOI required for 1.25x after amortization begins:* **$1,405,103**.
- *Best-case stabilized NOI on the Borrower's own pro forma (all space leased by the test date):* **$622,772** → 0.72x interest-only, 0.55x amortizing.
- *In-place NOI:* approximately **$320,100** → 0.37x interest-only, 0.28x amortizing.
- *Debt yield at stabilization:* 4.2% ($622,772 ÷ $14,750,000).

The Loan is sized at $14,750,000 against NOI that, even at full stabilization and full escalation, supports roughly $6.5 million of debt at a 1.25x amortizing coverage test and roughly $8.5 million at 1.25x interest-only coverage. The DSCR covenant is therefore not a performance test; it is a scheduled default at the first test date. *Treatment.* Sections 11.1 and 14.1(i) of the Mortgage implement the

Term Sheet faithfully: 1.25x, tested quarterly on a trailing-twelve-month basis, with an Event of Default only after two consecutive failures. The Mortgage defines Net Operating Income and Debt Service as the Term Sheet delegates (Section 1.1), including a 4% management fee cap, a $0.25/SF replacement reserve deduction, and Lender's right to normalize non-recurring items, below-market rents and partial-year leases. No cure right is included, because none was instructed and inventing one would be a Borrower-favorable change the Bank has not approved. Section 11.1(d) adds a distribution lock-up below 1.10x, which is a partial, drafting-level mitigation on which the Bank should opine (Part IV). *Action required — decision of the Bank.* The Bank must choose one of the following, and the draft will be conformed to the choice:

- (i) reduce the covenant to a level the Property can meet (but note that a covenant at or about 0.60x has no credit function); or
- (ii) extend the interest-only period beyond month 24 and accept a lower interim covenant, with the 1.25x test deferred to a stabilization date tied to occupancy (for example, the first quarter after the Property achieves 90% occupancy for two consecutive quarters); or
- (iii) retain 1.25x but add a contractual cure: Borrower may cure a failure by prepaying principal (without premium) or by depositing cash collateral with Lender in an amount sufficient to restore 1.25x for the applicable period; or
- (iv) retain 1.25x with no cure, and accept that the Loan will default at the first test date, which is only workable if the Bank intends to use the covenant as a renegotiation trigger.

Recommendation. We recommend (iii). It preserves the covenant's credit function, gives the Bank a defined remedy other than foreclosure in a rising-rate or slow-lease-up scenario, and is straightforward to draft: a new Section 11.1(e) and a cross-reference in Section 14.3(d). If the Bank selects (i), (ii) or (iii), the Term Sheet should be amended before closing, because Section 7.1 states the 1.25x requirement as a bargained term and a Loan Document that departs from it invites a claim under Term Sheet §14.4 ("Lender reserves the right to require additional provisions … provided that such additional provisions are not materially inconsistent with the terms of this Term Sheet").

D.2 — The appraisal's income approach does not support the concluded values, which undermines the as-stabilized loan-to-value ratio. *Source:* Appraiser's Report §6.2 (as-is NOI $332,000–$345,000; 6.25% cap rate), §6.3 (stabilized NOI $582,000–$592,000; 5.85% cap rate), §7 (concluded values $18,200,000 and $23,500,000), Key Ratios table (as-is LTV 81.04%; as-stabilized LTV 62.77%); Term Sheet §3.5 and §2.4. *Observation.* Applying the appraiser's own capitalization rates to the appraiser's own net operating income produces values that do not approximate the conclusions:

Scenario	NOI relied on	Capitalization rate	Value indicated	Value concluded	Implied cap rate on concluded value
As-is	$332,000–$345,000	6.25%	$5,312,000–$5,520,000	$18,200,000	1.82%–1.90%

Scenario	NOI relied on	Capitalization rate	Value indicated	Value concluded	Implied cap rate on concluded value
As-stabilized	$582,000–$592,000	5.85%	$9,949,000–$10,120,000	$23,500,000	2.48%–2.52%

The sales comparison approach is internally coherent ($600, $550 and $620 per square foot for three 2024–2025 comparables, against $587 per square foot as-is). The income approach is not. The appraiser states that it reconciled the income approach with the sales comparison and cost approaches, but the summary report does not disclose how, and the addenda that might explain it are not in the record. *Treatment.* The Mortgage does not restate appraised values, and correctly does not — an instrument should not incorporate a valuation that may change. The consequences are recorded here rather than in the document. *Action required — decision of the Bank.* (i) Obtain the complete appraisal with all addenda, and specifically the discounted cash flow analysis the appraiser says supports the conclusion. (ii) Consider ordering a review appraisal under the Bank's own policy; the income approach indicates approximately 30% of the concluded as-is value and approximately 43% of the concluded as-stabilized value, a disparity a reviewer will raise. (iii) Until this is resolved, the Bank should not rely on the 62.77% as-stabilized loan-to-value ratio for credit approval or for any covenant keyed to value. (iv) Note also that the as-is ratio of 81.04% exceeds a customary 65%–75% range; Kit's closing note asks Marcus to confirm whether the loan committee has approved exceptions for this Loan, and this memorandum repeats that request in writing (Part VIII).

D.3 — Occupancy is stated as 68% in two documents and is 56.13% on the verified rent roll; in-place rent is stated at $415,100 and is approximately $422,966 after scheduled escalations. *Source:* Term Sheet §2.3 ("Current occupancy is approximately sixty-eight percent (68%)" and, in the same paragraph, "Vacant space consists of Bay 2 … and 2nd Floor Suite B …, totaling 13,600 square feet, or approximately 43.9% of total building area"); Appraisal §1 and §3.1 ("68% (21,400 SF of 31,000 SF occupied)"; "vacant area is 13,600 SF (32%)"); Rent Roll, Summary (17,400 SF occupied; 56.13%; 13,600 SF vacant; 43.87%); Rent Roll, Lease Abstracts (rent escalation schedules). *Observation.* The Term Sheet contradicts itself in a single paragraph: 68% occupancy and 43.9% vacancy cannot both be true. The rent roll is correct: occupied area is Bay 1 (3,800) + Bay 3 (3,800) + Suite A (9,800) = 17,400 SF = 56.13%; vacant is 13,600 SF = 43.87%. The appraisal's supporting sentence ("21,400 SF of 31,000 SF occupied … 13,600 SF (32%)") does not add to 31,000 at all (21,400 + 13,600 = 35,000), and 21,400 ÷ 31,000 is 69.03%, not 68%. Separately, the rent roll's "Base Rent (Current)" column has not been updated for the escalations its own escalation schedules describe:

Space	Stated current rent	Escalation per lease abstract	Rent in effect on April 15, 2025	Annualized
Bay 1	$28.50/SF ($108,300)	3% each January 1 from January 1, 2025 → $29.36/SF	$29.36/SF (or $28.50 × 1.03 = $29.36)	$111,549

Space	Stated current rent	Escalation per lease abstract	Rent in effect on April 15, 2025	Annualized
Bay 3	$24.00/SF ($91,200)	2.5% each July 1 from July 1, 2023 → $24.60 (2023), $25.22 (2024)	$25.22/SF	$95,837
Suite A	$22.00/SF ($215,600)	2.5% each April 1 from April 1, 2026	$22.00/SF	$215,600
Total	$415,100			**$422,986**

The rent roll's own "Realistic Scenario" line uses $422,700 for the same three occupied spaces, confirming that the Summary tab figure is stale rather than a different assumption. *Treatment.* Exhibit D of the Mortgage presents the rent roll as delivered, with a note requiring Borrower to deliver at closing a certified rent roll conformed for all scheduled escalations, and making that certification a representation under Section 6.3. Section 4.5(a) warrants that the rent roll is true and correct as of the Closing Date. We have not restated the term sheet's 68% figure anywhere in the Mortgage, and the draft does not repeat it. Exhibit D also states the correct occupancy of 56.13%. *Action.* (i) Ask Borrower's counsel to confirm the rent actually invoiced for January 2025 (Bay 1) and July 2024 (Bay 3) — the escalation clauses may be drafted so that the rent adjusting mechanism operates differently from the schedule in the abstract, and only the ledgers settle it. (ii) Correct the occupancy figure in the credit approval memorandum and in any investor or rating presentation; a 12-point overstatement of occupancy in a loan file is the kind of error that is remembered after a default. (iii) Note that correcting the rent upward does not materially change the DSCR conclusion in D.1 (it improves stabilized NOI by roughly $8,000).

D.4 — Sources and uses do not balance once closing costs and the required reserve deposit are included. *Source:* Term Sheet §3.4 (Total Project Cost $20,950,000; Borrower equity $6,200,000, "representing approximately 29.6% of the Total Project Cost"); Term Sheet §3.3(a) (Initial Advance "to be applied toward the purchase price, closing costs, and funded reserves"); Term Sheet §6.3 ($150,000 tenant improvement and leasing commission reserve deposited by Borrower at closing); Term Sheet §13.1 (origination fee $147,500); Term Sheet §13.2 (Borrower pays all closing costs); Kit's notes, ¶6 (documentary stamp tax 0.37% = $54,575). *Observation.* The stated Total Project Cost is exactly the sum of the Loan and the equity contribution ($17,800,000 + $3,150,000 = $20,950,000 = $14,750,000 + $6,200,000). It therefore contains no allowance for:

Item	Amount	Source
Loan origination fee (1.00%)	$147,500	Term Sheet §13.1
South Carolina documentary stamp tax on the Mortgage (0.37%)	$54,575	Kit's notes ¶6; S.C. recording schedule
Tenant improvement and leasing commission reserve	$150,000	Term Sheet §6.3
Title insurance premium and endorsements	not quantified in record	Term Sheet §13.2(d), §5.6
ALTA/NSPS survey	not quantified	Term Sheet §13.2(e)
Appraisal, Phase I ESA, and any review	not quantified	Term Sheet §13.2(b), (c)

Item	Amount	Source
Lender’s legal fees (Fielding, Ashworth & Cole LLP)	not quantified	Term Sheet §13.2(a)
Quantified subtotal	**$352,075**	

The equity contribution of $6,200,000 is itself committed by the Members in fixed proportions ($4,464,000 / $1,116,000 / $620,000) under Operating Agreement §2.2, so an additional call requires either a further capital call or a reallocation of the Initial Advance — which would reduce the cash available to the seller at closing and leave the purchase price unfunded. *Treatment.* The Mortgage does not restate project cost (correct for an instrument). Section 17.11 places all recording, documentary stamp, title and closing costs on Borrower, consistent with the Term Sheet, and Section 12.1(m)-type evidence of equity funding is carried as a closing condition under the Term Sheet rather than a Mortgage covenant. *Action required.* Confirm with Marcus how closing costs and the $150,000 reserve deposit are funded. Three possibilities: (i) the equity contribution is in fact larger than $6,200,000 and the Operating Agreement summary is out of date; (ii) the Bank is funding the origination fee and reserve out of Loan proceeds, which reduces the cash to the seller and requires the seller’s consent; or (iii) the shortfall is being met from Borrower’s operating cash outside the committed capital. The draft assumes (iii) and does not condition disbursement on a sources-and-uses statement, but the Bank’s closing checklist should, and we recommend adding one.

D.5 — Tenant improvement and leasing commission costs are budgeted three times over. *Source:* Renovation Budget Line 4 ($550,000 “Tenant Improvement Allowances” for Bay 2 and Suite B, “budgeted at ~$40.44/SF blended”); Rent Roll, Vacancy Schedule (TI allowance assumed $25.00/SF for Bay 2 = $95,000 and $22.00/SF for Suite B = $215,600; aggregate $310,600; leasing commissions $89,750); Term Sheet §6.3 ($150,000 separate TI/LC reserve funded at closing). *Observation.* Three different buckets address the same cost: $550,000 inside the Renovation Budget, $310,600 in the lease-up schedule, and $150,000 in a separate reserve, with no stated interaction. The renovation budget line ($40.44/SF blended) is 78% higher than the lease-up schedule’s assumption ($22.84/SF blended: $310,600 ÷ 13,600 SF). Separately, Line 4 is described as “Various (to be contracted per lease terms)” in the budget detail and yet is included in the GC Contract sum of $2,850,000, as discussed in D.10. *Treatment.* Exhibit C of the Mortgage reproduces the Renovation Budget as delivered, allocates the Line 4 amount between the Renovation Holdback ($450,000) and Borrower equity ($100,000), and adds a note requiring the scope of the GC Contract — including whether Line 4 sits inside or outside it — to be confirmed by the executed contract and change orders. Section 12.3 preserves the separate $150,000 reserve and its 30-day replenishment obligation, which is the only one of the three that gives the Bank a replenishment right. *Action.* Ask Borrower to reconcile the three figures and to state which costs are funded from the Renovation Holdback, which from the reserve, and which from Borrower equity. If Line 4 is in truth $310,600 rather than $550,000, then either the Renovation Budget is overstated by $239,400 (which weakens the 71.43% holdback ratio and the as-stabilized value assumption) or the excess is available for other costs. This

must be resolved before the Bank approves the draw schedule, because the draw conditions in Section 12.4 are tied to the Line 4 allocation.

D.6 — The DSCR test date is stated three different ways. *Source:* Term Sheet §7.1 (testing commences 24 months after closing; first test date "the first full calendar quarter ending after the twenty-fourth month following closing (anticipated to be approximately July 15, 2027, for the quarter ending June 30, 2027)"); Rent Roll, Summary ("DSCR Covenant Testing Commencement: April 15, 2027 (Month 24 post-closing)"); Rent Roll, Vacancy Schedule (same, April 15, 2027); Kit's notes, ¶6 ("first test date April 15, 2027"). *Observation.* Three positions: (i) quarter-ending basis → the first Test Period ends June 30, 2027; (ii) Month 24 date → April 15, 2027; (iii) the Term Sheet's own parenthetical oddity, which describes the quarter ending June 30, 2027 but labels the test date July 15, 2027 — which is only 15 days after quarter end, faster than any lender can compute a trailing twelve-month test. The lease-up analysis in the rent roll was built on the April 15, 2027 date (its "realistic scenario" assumes Suite B is not stabilized by then), so the choice matters to the pro forma. *Treatment.* Section 11.1(b) of the Mortgage adopts the Term Sheet's quarter-ending formulation: testing commences with the Test Period ending June 30, 2027, with Borrower certification within 45 days after the Test Period ends (that is, by August 14, 2027, not July 15, 2027). "Test Period" is defined in Article I as a trailing twelve-month period ending on the last day of a fiscal quarter. *Action.* Confirm the 45-day certification convention with Marcus, and correct the Term Sheet's July 15, 2027 parenthetical in the closing checklist or by side letter so the Bank and the Borrower's counsel are working from one date. Note that the April 15, 2027 date in the rent roll is what the Borrower's own adviser used; if the Bank intends the earlier date, the lease-up analysis becomes materially more aggressive than it already is.

D.7 — Two minor computational variances in the debt service analysis. *Source:* Rent Roll, Vacancy Schedule rows 22–29. *Observation.* (a) The rent roll uses a monthly payment of $93,500 and annual debt service of $1,122,000; the correct payment on $14,750,000 over 25 years at 5.85% is $93,674 per month and $1,124,082 per year (a difference of $2,082 per year). (b) The rent roll states annual interest at 5.85% on $14,750,000 as $863,375; the correct figure is $862,875 (a $500 overstatement). *Treatment.* Neither variance is used in the Mortgage. The Mortgage states no dollar amount of debt service. *Action.* Correct both in the credit file. They do not change any conclusion (D.1 holds on either figure), but they should not survive into a credit approval memorandum.

D.8 — The draw schedule overruns the Renovation Budget by $5,000 and calls $905,000 of Borrower equity against a $900,000 budget allocation. *Source:* Renovation Budget, Budget Detail (Borrower equity allocation $900,000; total $3,150,000); Renovation Budget, Draw Schedule (Draw 14 cumulative borrower equity $905,000; cumulative total $3,155,000; "Remaining Borrower Equity Commitment" of ($5,000) at Draw 14). *Observation.* The draw schedule is internally consistent month by month but finishes $5,000 above the budget, and the negative remaining-equity figure in Draw 14 shows the overrun was noticed

and not corrected. *Treatment.* Exhibit C of the Mortgage reproduces the draw schedule as delivered, with a note that the schedule is illustrative only, that Lender is not committed to any disbursement schedule, and that all costs in excess of the Renovation Holdback — including all overruns — are Borrower's responsibility under Section 12.4(f). Section 12.4(g) requires Lender consent for change orders and budget revisions and prohibits reallocation of a line item by more than 10% without consent. *Action.* Ask Borrower to correct the schedule to $3,150,000 and to identify the source of the $5,000. Trivial in amount, but a draw schedule that does not foot is the first thing an inspector or a loan reviewer will notice, and it invites a question about whether the budget was underwritten to actual contract values.

D.9 — Two secondary figures verified, one rounding convention noted. *Source:* Term Sheet §6.2 (capital replacement reserve); Term Sheet §13.1 (origination fee); Kit's notes, ¶6 (documentary stamp tax). *Observation.* (a) Capital replacement reserve: $0.25/SF × 31,000 SF = $7,750 per year; ÷ 12 = $645.8333 → $645.83 per month as stated. Correct, and Section 12.2 of the Mortgage reproduces the calculation. (b) Origination fee: 1.00% × $14,750,000 = $147,500. Correct. (c) Documentary stamp tax: $14,750,000 ÷ $500 = 29,500 increments × $1.85 = $54,575, being 0.37% of the indebtedness secured. Correct, and recited in Section 17.11 of the Mortgage so that the amount to be paid at recording is on the face of the instrument. *Action.* None, beyond confirming with Prestige Title that Charleston County will accept that computation and that no additional mortgage registration fee applies.

D.10 — The scope of the GC Contract is inconsistent between the Term Sheet, the budget detail and the line-item vendor designations. *Source:* Term Sheet §3.4 and §8.1 (contract sum $2,850,000 "covering hard costs of construction"; $300,000 for soft costs and contingency outside the GC Contract); Renovation Budget, Budget Detail (SUBTOTAL — Hard Costs (GC Contract) = $2,850,000 labelled "Items 1–4," but Line 4's vendor is "Various (to be contracted per lease terms)"; Line Items 1–3 total $2,300,000). *Observation.* If the GC Contract covers only Lines 1 through 3, the contract sum should be $2,300,000, and $550,000 of hard costs would be contracted separately. If it covers Lines 1 through 4, then the tenant improvement allowance work is being contracted to the General Contractor rather than, as the line item says, "per lease terms." Both readings appear in the same worksheet. *Treatment.* Exhibit C, Part 2 of the Mortgage states the GC Contract sum at $2,850,000 for Line Items 1–4, consistent with the Term Sheet and the budget subtotal, and adds a note requiring the scope to be confirmed by the executed contract and change orders delivered under Term Sheet §12.1(l) and Section 12.4(g). The collateral assignment of the GC Contract in Section 2.4, the lien waiver requirements in Section 12.4(c)(ii) and the inspection condition in Section 12.4(c)(v) are drafted to apply to all work within the GC Contract scope so that the answer does not change the mechanics. *Action.* Obtain the executed GC Contract before closing (it is already a condition precedent) and reconcile. If the tenant improvement work is outside the GC Contract, the Bank's lien waiver and inspection regime must reach the individual trade contractors for

that work; Section 12.4(c)(ii) currently reaches subcontractors and suppliers performing work exceeding $25,000, which will capture them, but the draw request requirements in Section 12.4(c)(i) are architect-certified on an AIA G702/G703 basis, which presupposes a GC-managed schedule of values.

E. Prepayment and Yield Maintenance

Kit's instruction on yield maintenance was the most detailed in the markup notes, and it is the area where the draft departs from the notes most substantially — not by oversight, but because the notes and the Term Sheet state different economics. The Bank must choose which controls.

E.1 — Kit's proposed formula omits the 1% floor that the Term Sheet requires. The draft restores it. *Source:* Term Sheet §4.2 (premium "equal to the greater of: (a) one percent (1.00%) of the outstanding principal balance … or (b) the present value of the excess of (i) the interest that would have accrued … at the applicable Note rate … over (ii) the interest that would accrue … at the treasury rate plus fifty (50) basis points … discounted to present value at the treasury rate"); Kit's notes, ¶5 (proposed formula with "In no event shall the Yield Maintenance Premium be less than zero," and no 1% floor). *Observation.* The Term Sheet's premium is a **greater of** two amounts, with a 1% floor. Kit's proposed clause computes only the present value differential and floors it at zero, which eliminates the 1% minimum. The difference is material in a rising-rate environment: if Treasury yields rise above the Note rate, the differential goes to zero and, under Kit's formula, so does the premium; under the Term Sheet, the Bank still collects 1% of the prepaid principal — $147,500 on a full prepayment at the original balance. *Treatment.* Section 13.3(b) of the Mortgage implements the Term Sheet: the premium is "the greater of" (i) 1.00% of the outstanding principal balance as of the date of prepayment and (ii) the present value differential, with the differential floored at zero and the premium itself therefore never below 1%. *Action required.* Confirm with Marcus which economics the Bank intends. Kit's proposed language may have been a deliberate tightening of the Borrower's position (unlikely, given the Bank's interest) or an inadvertent omission. Our view: the Term Sheet controls, the Bank should keep the floor, and Kit's clause should not be used. If the Bank prefers Kit's version, the Term Sheet must be amended, because the Borrower will notice the change.

E.2 — The Term Sheet and Kit's notes compute the differential on different bases. *Source:* Term Sheet §4.2(b) (compares the interest stream at the Note rate against the interest stream at Treasury + 50 bps, discounted at the Treasury rate); Kit's notes, ¶5 (compares the present value of "all remaining scheduled monthly payments of interest and principal" discounted at the Treasury Rate against "the outstanding principal amount being prepaid"). *Observation.* These produce different answers. The Term Sheet's version is a classic yield maintenance calculation: the lender is made whole for the difference between the loan's yield and the reinvestment yield on the remaining term. Kit's version is closer to a defeasance/opportunity-cost calculation and, because it discounts principal and interest rather than interest alone, will generally be lower than the Term Sheet's

figure at the same rate environment. Neither is unenforceable; they simply are not the same bargain. *Treatment.* Section 13.3(b) implements the Term Sheet's construction. The formula is self-contained: it fixes the measurement period (prepayment date through the last day of the Yield Maintenance Period, that is, the last day of month 48), the interest basis (monthly, 30/360), the comparison rate (Treasury Rate + 0.50%), the discount rate (Treasury Rate), the floor (zero) and the minimum premium (1.00%), and it provides that Lender's computation is conclusive absent manifest error. *Action.* Confirm the construction with Marcus (see E.1). Whichever construction is chosen, the *Note* must contain the identical formula — see E.5.

E.3 — The 50 basis points are allocated to the comparison rate, not to the loan rate. This resolves the Term Sheet's ambiguity, but the Bank should confirm. *Source:* Term Sheet §4.2(b)(ii) ("the interest that would accrue on such prepaid principal amount at the treasury rate plus fifty (50) basis points"); Kit's notes, ¶5 (recommends adding the 50 bps to the loan rate instead, and asks for confirmation from Marcus). *Observation.* The Term Sheet allocates the spread to the treasury leg. Kit reads the phrase "treasury rate + 50 bps spread" as ambiguous and would prefer to add the spread to the Note rate, which increases the premium. The two approaches are economically equivalent only if the spread is added to one leg: adding 50 bps to the Note rate increases the differential by 50 bps; adding 50 bps to the Treasury rate *decreases* the differential by 50 bps. They are opposites. *Treatment.* Section 13.3(b)(ii)(B) follows the Term Sheet literally: the comparison stream accrues "at a rate per annum equal to the Treasury Rate plus fifty (50) basis points (0.50%)." This reduces the premium relative to Kit's preferred reading. *Action required.* This is a Bank decision with a dollar consequence. Confirm with Marcus. If the Bank wants Kit's reading, the draft changes one clause and the Term Sheet must be amended or the discrepancy accepted as an interpretive position taken in the Bank's favor — which we would not recommend without the Borrower's written agreement, because it is the kind of ambiguity a Borrower's counsel will litigate after a prepayment.

E.4 — The Treasury rate definition contains an internal inconsistency that should be resolved on its face. *Source:* Kit's notes, ¶5 (Treasury Rate means the yield "of the United States Treasury security … having a maturity date closest to, but not exceeding, the last day of the Yield Maintenance Period. If no published maturity exactly matches, interpolate linearly between the two nearest published maturities."). *Observation.* "Closest to but not exceeding" and "interpolate between the two nearest" cannot both be applied to the same fact pattern; the first selects a security and the second implies a synthetic one. *Treatment.* Section 13.3(c) of the Mortgage resolves it in favour of determinism: the Treasury Constant Maturity series with a maturity date closest to the last day of the Yield Maintenance Period, with linear interpolation between the two nearest maturities (one above and one below) only where no published constant maturity has a maturity within ninety days of that date. The reference is to Federal Reserve Statistical Release H.15, as Kit proposed, and to any successor publication. *Action.* None substantive; confirm with Kit that the resolution is acceptable.

E.5 — The Note has not been reviewed, and the Mortgage says the Note controls the premium calculation. *Source:* Term Sheet §14.3(a) (Promissory Note to be prepared by Lender's counsel); Section 13.1 of the Mortgage (in case of inconsistency as to the amount or calculation of any prepayment premium, the Note controls). *Observation.* The Mortgage cannot be the only document with a defensible formula. If the Note contains a summary formula (as Notes often do — "yield maintenance as computed by Lender") and the Mortgage contains the detailed formula, the disparity will be read against the Bank. Conversely, if the Note contains the 1% floor and the Mortgage does not (or vice versa), the Borrower will rely on whichever is lower. *Treatment.* Section 13.1 subordinates the Mortgage's Article XIII to the Note as to quantum, so the Note is the operative economic document, and Article XIII supplies the mechanics only to the extent consistent with it. *Action required.* Before execution, circulate the Note (draft or executed form) and conform Article XIII to it clause by clause. If the Note is issued in the form described in Kit's markup notes rather than in the Term Sheet form, that choice should be made deliberately, once, and reflected in both documents.

E.6 — Involuntary prepayments are applied at par without premium. This is a drafting election, not a Term Sheet term. *Source:* Term Sheet §4.1–4.3 (silent on casualty and condemnation); Kit's notes, ¶5 ("Confirm this casualty/condemnation carve-out with the client — some lenders want a premium even on involuntary prepayments, though that is the minority position"). *Observation.* Sections 10.7, 10.8, 13.2(c) and 13.5 of the Mortgage provide that casualty proceeds, condemnation awards and post-default acceleration payments are applied at par with no premium. *Action required.* Confirm with Marcus. If the Bank wants a premium on casualty or condemnation applications (a minority position, and one that is harder to defend as liquidated damages because the prepayment is involuntary), Sections 10.7, 10.8 and 13.5 change in three places. We recommend leaving the carve-out; it is market and it avoids a penalty argument.

E.7 — Acceleration after default: no premium. This should also be a conscious position. *Source:* Term Sheet §4.1 (prepayment "in violation of this restriction shall be subject to a prepayment premium"); the Term Sheet does not address acceleration. *Observation.* Section 13.5 of the Mortgage applies amounts paid on acceleration at par. Some lenders draft yield maintenance as payable on acceleration as well, to remove any incentive to default into a prepayment. *Action required.* Confirm. If the Bank wants the premium on acceleration, that is a commercially aggressive position that South Carolina courts may scrutinize as a penalty when the acceleration is the lender's election rather than the borrower's.

E.8 — Enforceability: characterize the premium carefully, and keep the formula deterministic. *Source:* Kit's notes, ¶5 ("SC courts have generally enforced yield maintenance premiums … but the formula must be specific, mathematically deterministic, and objectively calculable … If the formula is ambiguous … a court could deem it an unenforceable penalty"). *Observation.* The draft supports enforceability in four ways: the formula is deterministic (fixed measurement period, published index, stated day count and discount convention);

Lender's computation is conclusive only "absent manifest error," which preserves a check on arbitrary calculation; Section 13.3(e) recites that the premium is a reasonable estimate of loss and not a penalty; and the 1% floor is small relative to any plausible loss, which supports the "reasonable estimate" characterization rather than an inference of punitive intent. *Action.* None. Do not add language describing the premium as a "fee" or as "additional interest," which weakens the liquidated-damages characterization.

F. Single-Purpose Entity Status and the Operating Agreement

The Term Sheet requires full single-purpose entity covenants (Section 10.1). The Operating Agreement, as summarized, contains almost none of them. The distance between the two is the largest documentation gap in the transaction, and the draft's representation in Section 6.4 cannot be given truthfully until it is closed.

F.1 — No independent manager, and therefore no bankruptcy remoteness. *Source:* Term Sheet §10.1; Operating Agreement Summary §3.1 ("The Operating Agreement does not impose any requirement for GDG to appoint or maintain an independent director, independent manager, or springing member. There is no provision … requiring the consent of any independent party prior to the Company filing a voluntary petition under the United States Bankruptcy Code … The Operating Agreement does not contain any bankruptcy remoteness provisions"). *Observation.* Graydon Development Group LLC holds 72% and, through Neil Ashford Graydon as its sole member and manager, controls Borrower outright. Nothing prevents Guarantor from causing Borrower to file. That defeats the purpose of the non-recourse structure (Term Sheet §5.5(a)(iii) treats a voluntary filing as a full-recourse carve-out, which mitigates but does not cure the issue — the carve-out preserves the Bank's claim against Guarantor, but a filing still stays the foreclosure). *Treatment.* Article VIII of the Mortgage requires the Operating Agreement to provide for at least one Independent Manager; requires the Independent Manager's affirmative consent before Borrower may file or consent to a bankruptcy, make an assignment for creditors, admit inability to pay debts, or dissolve, merge or consolidate; requires a springing member mechanism on the resignation, removal, death or incapacity of an Independent Manager, with a successor approved by Lender within ten business days; prohibits removal or replacement of the Independent Manager without Lender's consent; and prohibits amendment of those provisions without Lender's consent. Section 8.2 imposes the standard separateness covenants, Section 8.5 requires each Member's written consent to be bound, and Section 14.1(j) makes a breach immediate (no cure) consistent with Term Sheet §11.2(c). *Action.* The Operating Agreement Amendment described in Kit's markup notes, ¶4(b) must be drafted and executed by all three Members (and by Tidewater GP Holdings LLC for Tidewater) as a condition precedent. Note: the Term Sheet does not list the Operating Agreement Amendment among the Section 12.1 conditions precedent, but Section 10.1(g) requires the organizational documents to be amended "prior to closing" — so the Amendment is required by the Term Sheet even though the closing checklist omits it. Recommend adding it expressly to the checklist (Part VII).

F.2 — The purpose clause is a "catch-all" and the separateness covenants are absent. *Source:* Operating Agreement Summary §1.4 (purpose clause ends "and to engage in any and all activities necessary, incidental, or related thereto," described by Borrower's counsel as "a broad catch-all that is not otherwise limited or defined"); §3.1 (no separateness covenants); Kit's notes, ¶4(2)–(3). *Observation.* A single-purpose representation cannot be given against a purpose clause that permits any related activity, and the absence of separateness covenants (separate books, accounts, stationery, arm's-length dealings, no affiliate guarantees) is a substantive bankruptcy-consolidation risk in an entity 72% owned by an operating developer with other projects. *Treatment.* Section 8.1 of the Mortgage restricts Borrower's purpose to the Property and incidental activities; Section 8.2 imposes twelve enumerated separateness covenants; Section 9.3 prohibits amendment of those provisions without Lender's consent. *Action.* The Operating Agreement Amendment must narrow the purpose clause to the Property. Borrower's counsel should be told that a representation in Section 6.4 will be required at closing and cannot be given against the current text.

F.3 — Bankruptcy is not a "Major Decision," and the 75% threshold does not help. *Source:* Operating Agreement Summary §3.2 (Major Decisions require 75% member approval; the list "does not include the filing of a voluntary petition for bankruptcy … This decision is not subject to any heightened approval requirement"); §8.1(b) (dissolution on 75% consent). *Observation.* Because GDG holds 72%, it cannot act alone on a Major Decision, which gives the passive members real leverage on sales, financing, budgets and dissolution. But bankruptcy is not on the list, so the leverage does not extend to the one decision that matters most to the Bank. *Treatment.* Section 8.3(b) of the Mortgage requires the Independent Manager's consent for bankruptcy filings and dissolutions; Section 8.4 is a standalone prohibition; Section 9.7 prohibits dissolution, merger, consolidation or division without Lender's consent and, where applicable, unanimous member consent. *Action.* Include the bankruptcy item in the Operating Agreement Amendment's Major Decisions list, with a unanimity requirement, in addition to the Independent Manager consent. Belt and braces; the passive members will support it because it protects their position too.

F.4 — Tidewater's general partner must be bound, and its authority must be evidenced. *Source:* Operating Agreement Summary §2.1 (Tidewater GP Holdings LLC "has the exclusive authority to manage and direct the affairs of Tidewater, including its investments"); §10 signature page (Tidewater executes through Tidewater GP Holdings LLC); Kit's notes, ¶4 (last paragraph). *Observation.* The Operating Agreement Amendment must be executed by Tidewater Opportunity Fund II LP acting through its general partner, and the general partner's authority should be evidenced rather than assumed. *Treatment.* Section 6.4(c) of the Mortgage represents that the Operating Agreement Amendment has been executed by each Member and by Tidewater GP Holdings LLC as general partner; Section 7.11 requires delivery of evidence of that authority as a condition precedent. *Action.* Request either the relevant provisions

of the limited partnership agreement or a general partner authorization certificate. Do this now; it is a common last-week delay.

F.5 — Two inconsistencies in Borrower's organizational records. *Source:* Term Sheet §1.2 (registered agent "Capitol Registered Agents Inc., 1201 Main Street, Suite 410, Columbia"); Operating Agreement Summary §1.3 (registered agent "Statehouse Registered Agents, Inc., 1201 Main Street, Suite 410, Columbia"). *Observation.* Same address, different agent name. One of the two documents is wrong, and the Bank's good standing certificate and title requirements (Commitment Requirement 8(a)) will turn on the Secretary of State's record. *Treatment.* Section 7.9 of the Mortgage requires Borrower to maintain its registered agent as identified in the Operating Agreement and to notify Lender of any change. The draft does not name the agent. *Action.* Confirm the current registered agent from the Secretary of State's records and correct the Term Sheet or the Operating Agreement as appropriate. Also confirm that the March 1, 2025 amendment to the Operating Agreement (executed by all three Members, per the summary's signature page) is not the amendment that the March 1, 2025 version already reflects — the summary says the amendment's "specific terms and modifications … have not been summarized," which means the Bank has not seen the operative document.

F.6 — The Operating Agreement requires only reviewed financial statements within 90 days; the Term Sheet requires audited statements within 120 days. *Source:* Operating Agreement Summary §6.2(b) (annual statements "reviewed (but not audited) by an independent certified public accountant … within ninety (90) days"); Term Sheet §7.3(a) (audited statements by an auditor acceptable to Lender within 120 days). *Observation.* Borrower's organizational documents commit to a lower standard than the Loan Documents require. A managing member complying with the Operating Agreement would deliver reviewed statements, and could resist an audit as an unbudgeted expense. *Treatment.* Section 11.3(a) of the Mortgage requires audited statements within 120 days, as the Term Sheet does. Section 11.5 provides a 30-day cure after notice for failing to deliver audited statements, which mitigates the transition risk in year one. *Action.* Either amend the Operating Agreement's reporting standard in the Operating Agreement Amendment, or accept the risk with the extended cure. Recommend amending: it costs nothing now and prevents an argument later.

F.7 — Distributions, preferred returns and unilateral capital calls create leakage risk that the draft only partly controls. *Source:* Operating Agreement Summary §5.1 (8% compounding preferred return; return of capital; 80/20 promote); §5.2 (70/30 promote on capital events); §5.3 (quarterly tax distributions); §2.2 (Managing Member has "unilateral authority to determine the timing, amount, and purpose of additional capital calls"); §3.4 (asset management and development management fees, terms redacted). *Observation.* An 8% compounding preferred return accrues from inception and is payable before any return of capital; in a value-add deal with a two-year rent-up, distributions may be funded from capital rather than cash flow. The Managing Member's unilateral capital call power is also a leakage route: capital calls that are used to fund distributions or fees would

breach the separateness covenants and the negative covenants in the Mortgage. *Treatment.* Section 9.6 of the Mortgage prohibits distributions while an Event of Default is continuing or if a distribution would cause a breach of the net worth or liquidity covenants; Section 11.1(d) adds a lock-up below 1.10x DSCR. Section 8.2(h) requires arm's-length affiliate dealings. The capital call power is not addressed directly, because a capital contribution is not a distribution; the capital replacement and TI/LC reserve obligations are the Bank's protection. *Action.* Confirm with Borrower's counsel that the March 1, 2025 amendment did not modify the waterfall. Consider adding a covenant that capital calls may not be funded by, or used to pay, distributions or affiliate fees while the DSCR is below 1.10x. That is an addition beyond the Term Sheet (Part IV).

G. Recourse, Guaranties and Exculpation

G.1 — The payment guaranty covers 14 months; the interest-only period runs 24. There is an unguaranteed ten-month gap in the weakest part of the loan. *Source:* Term Sheet §5.5(c) (Guarantor guarantees the interest shortfall "covering the first fourteen (14) months following closing"); Term Sheet §3.9 (interest-only for the first 24 months; amortization begins with the payment due May 15, 2027); Term Sheet §7.1 (DSCR testing begins after month 24); Rent Roll, Vacancy Schedule (Suite B not projected to commence rent until February 1, 2027). *Observation.* The guaranty expires in June 2026. From July 2026 through April 2027 the Loan is interest-only, Suite B is not yet generating rent, Bay 3's renewal is unresolved, and there is no guaranty of any shortfall. The guarantee therefore expires immediately after the point of maximum construction disruption (substantial completion, June 15, 2026) and before the point of maximum interest cost with the least income. It is the reverse of the coverage a lender usually wants. *Treatment.* The Mortgage does not restate the guaranty (correctly — the Guaranty is the operative instrument) but Section 16.1 confirms that recourse is governed by the Note, the Guaranty and the Environmental Indemnity, and Section 7.10 requires Borrower to cause Guarantor to comply. Section 14.1(f) cross-defaults the Guaranty. *Action required — decision of the Bank.* Recommend extending the payment guaranty to at least the end of the interest-only period (month 24, April 15, 2027), and preferably through the first DSCR test. This is a credit term, requires a Term Sheet amendment and Guarantor consent, and should be raised with Marcus before the Guaranty is drafted rather than after.

G.2 — The Term Sheet describes three guaranties and its loan-documents list names one. *Source:* Term Sheet §5.5(a)–(c) (non-recourse carve-out guaranty, completion guaranty, payment guaranty); Term Sheet §14.3(e) ("Guaranty Agreement"); Term Sheet Guarantor Acknowledgment ("the Guaranty Agreement, Completion Guaranty, Payment Guaranty, Environmental Indemnity Agreement"); Title Commitment Requirement 7 ("a Guaranty Agreement from Neil Ashford Graydon"). *Observation.* The Term Sheet is internally inconsistent as to whether there is one Guaranty Agreement covering three guaranties or three instruments. The title commitment requires "a Guaranty Agreement," singular. *Treatment.* Article I of the Mortgage defines "Guaranty" collectively, as "the guaranty or guaranties of even date herewith executed by Guarantor … comprising the

Guaranty Agreement, the Completion Guaranty and the Payment Guaranty, whether executed as one or more instruments," and the definitions of "Completion Guaranty" and "Payment Guaranty" cross-refer to Term Sheet §5.5(b) and (c). This accommodates either structure and satisfies title Requirement 7 either way. *Action.* Confirm the structure with the Bank (recommend one instrument with three articles, for closing efficiency and to satisfy Requirement 7 unambiguously) and align the loan-documents schedule.

G.3 — The carve-out list should be conformed across the Note, the Guaranty and the Mortgage. *Source:* Term Sheet §5.5(a)(i)–(v) (fraud or intentional misrepresentation; misapplication of rents, deposits, insurance or condemnation proceeds; voluntary bankruptcy; environmental liability from acts or omissions; violation of transfer restrictions). *Observation.* The five carve-outs are the only route to full recourse against Guarantor. If the Note's list differs from the Guaranty's, the Borrower and Guarantor will argue that recourse is limited to the narrower list. *Treatment.* Section 16.1 of the Mortgage recites the five carve-outs and states that the Mortgage does not modify, limit or expand them, and that the Note controls in the event of conflict. Section 14.1(l), together with Section 7.1, ensures that an environmental breach is independently an Event of Default under the Mortgage, so the Bank is not dependent on the carve-out to reach its collateral. *Action.* Circulate the Note and Guaranty drafts for a line-by-line conform. Also confirm the treatment of a *consent to* an involuntary petition: the Term Sheet covers a voluntary filing only, and a consent or collusive involuntary filing is the usual companion carve-out.

G.4 — The Mortgage's non-recourse section must not accidentally create liability. *Source:* Term Sheet §5.5 (loan structured non-recourse to Borrower except for carve-outs). *Observation.* A mortgage that recites that the Obligations are "secured by all of the Mortgaged Property" without a recourse limitation invites an argument that the Borrower is personally liable. Equally, a mortgage that recites exculpation could be read to override a Note provision making the Borrower liable for carve-out amounts. *Treatment.* Section 16.1 of the Mortgage limits the statement to the structure, expressly defers to the Note and the Guaranty, and states that nothing in the Mortgage creates personal liability of any Member, manager, officer or Affiliate. Section 16.2 limits Guarantor's obligations to those in the Guaranty, the Environmental Indemnity and the Completion Guaranty, and provides that Guarantor's execution of a consent to the Mortgage does not expand them. The Guarantor's consent at the end of the Mortgage says the same thing expressly. *Action.* Confirm the Note contains an exculpation clause consistent with this section; if the Note is silent (unlikely), the Mortgage's Section 16.1 will be the only exculpation, and it defers to a document that says nothing — a result to be avoided.

H. Covenants, Defaults and Remedies

H.1 — The net worth and liquidity covenants are imposed on different parties in the Term Sheet and in the markup notes. *Source:* Term Sheet §7.2 ("Borrower shall maintain … a net worth of not less than $1,000,000 … and liquid

assets … of not less than $500,000"); Kit's notes, ¶6 ("Guarantor minimum net worth of not less than $1,000,000 … Guarantor minimum liquid assets of not less than $500,000"). *Observation.* The Term Sheet places both tests on Borrower; Kit's note places them on Guarantor. Imposing them on Guarantor would be practically meaningless: Guarantor's net worth is approximately $28,000,000 (Term Sheet §1.3), so a $1,000,000 test would never bind. Imposing them on Borrower is the operative test, and a $1,000,000 net worth floor against a $6,200,000 equity commitment is a thin constraint — Borrower could distribute $5,200,000 of equity and still comply. *Treatment.* Section 11.2 of the Mortgage imposes both tests on Borrower, as the Term Sheet does, tested annually, with net worth determined under GAAP and excluding any value attributable to the Property above its then-appraised value (which prevents Borrower from meeting the test by revaluing its own asset). *Action.* Confirm the Term Sheet position, and consider whether the Bank wants a higher Borrower net worth floor or a Guarantor test at a meaningful level. Both are credit decisions, not drafting decisions, and neither is in the draft.

H.2 — The Term Sheet's DSCR default has no cure; the draft does not add one. See D.1. *Source:* Term Sheet §11.1(i), §11.2(b). *Observation and treatment* are set out at D.1. Section 14.3(d) of the Mortgage provides no cure period, which is faithful to the Term Sheet and is the reason the covenant must be fixed at the Term Sheet stage rather than left to the documents.

H.3 — Insurance defaults carry no cure period in the draft. *Source:* Term Sheet §11.1(f), §11.2(b) (non-monetary defaults "other than SPE defaults, transfer restriction defaults, and insurance defaults" receive 30 days, extendable to 90). *Observation.* The Term Sheet deliberately excludes insurance defaults from the cure regime, which means a lapse is an immediate Event of Default. That is a harsh outcome for an administrative lapse (an insurer's non-renewal, a premium invoice misdirected). *Treatment.* Section 14.3(f) of the Mortgage provides a narrow 10-business-day cure where the lapse results solely from cancellation or non-renewal by the insurer, available once during the term. This is a mild softening of the Term Sheet and is listed in Part IV. *Action.* Confirm. If the Bank wants the Term Sheet position strictly, delete the second sentence of Section 14.3(f).

H.4 — The transfer restrictions require three fixes: the member-transfer exception is too broad, the aggregate test has no base, and indirect transfers are not captured at all. *Source:* Term Sheet §10.3 (no transfer of ownership interests "exceeding ten percent (10%) individually or twenty-five percent (25%) in the aggregate … except for transfers among the existing members of Borrower"); Operating Agreement Summary §4.1–4.5 (transfer restrictions with a 75% consent threshold, extensive Permitted Transfers, no change-of-control provision); §4.2(c) (Tidewater may transfer to "any successor fund managed by Tidewater GP Holdings LLC or any Affiliate thereof," a phrase the summary describes as "particularly broad in scope" and undefined). *Observation.* Three problems. First, "except for transfers among the existing members" is unbounded: read literally, Tidewater could transfer its entire 18% to Harborline, or GDG could transfer to Tidewater, without consent. Second, "twenty-five percent in the aggregate" does not say over what period or measured against

what base. Third, and most important, neither the Term Sheet nor the Operating Agreement restricts an *upstream* change: Guarantor could sell his membership interest in Graydon Development Group LLC (which holds the 72%) to a third party and no "transfer of an ownership interest in Borrower" would occur, because the registered holder did not change. The Operating Agreement summary says this in terms: "The Operating Agreement contains no 'change of control' provision that would capture indirect or upstream transfers." *Treatment.* Section 9.2 of the Mortgage addresses all three:

- (i) the member-transfer exception is conditioned on four things — no change in Control, the transferee being an existing Member, ten business days' notice, and GDG continuing to hold at least 51% and to serve as Managing Member;
- (ii) "in the aggregate" is measured against the membership interests held on the Closing Date (by defining the test by reference to Transfers during the term of the Loan);
- (iii) Section 9.2(c) adds a definition of Transfer that captures indirect transfers, expressly including a transfer of Guarantor's interest in GDG, any merger or conversion of a Member, any change in Tidewater's general partner, any transfer by Tidewater to a "successor fund" under Operating Agreement §4.2(c), any change in the manager of Harborline, and the admission of a new Member. Section 9.2(c) also states that no transfer designated a "Permitted Transfer" under the Operating Agreement is effective for purposes of the Loan Documents unless made in compliance with Section 9.2.
- (iv) Section 9.2(d) preserves a genuine estate-planning carve-out for Guarantor (revocable trust, or transfer on death), because a blanket prohibition on transfers at death is not enforceable in practice and would be resisted.

Action required. The indirect-transfer language and the 51% floor are additions beyond the Term Sheet and are listed in Part IV. Recommend the Bank accept them: the Term Sheet's prohibition is otherwise removable by a sale of the managing member's own equity, which is the single most likely exit route for Guarantor. Also confirm whether the Operating Agreement should be amended (in the Operating Agreement Amendment) to add a change-of-control restriction so the organizational documents and the Loan Documents are consistent.

H.5 — Completion: the deadline, the extension, the guaranty and the LUR interact. *Source:* Term Sheet §8.3 (Substantial Completion Deadline June 15, 2026; 14 months); Term Sheet §8.4 (10% retainage; no disbursement during an Event of Default); Term Sheet §11.1(h) (failure to achieve substantial completion is an Event of Default); Term Sheet §5.5(b) (completion guaranty); Renovation Budget, Draw Schedule (substantial completion at Draw 14, June 15, 2026). *Observation.* The deadline is 14 months after an assumed April 15, 2025 closing. If closing slips to May 15, 2025 (the Term Sheet's outer limit), substantial completion moves to July 15, 2026 unless the Mortgage is conformed — which is why the draft defines the deadline by reference to the Closing Date with the June 15, 2026 date stated as a description. The completion guaranty is the backstop, but a completion guaranty is only as good as the guarantor's liquidity, and Guarantor's guarantee is

already supporting the interest shortfall. *Treatment.* Section 12.7 of the Mortgage defines Substantial Completion (architect's certificate plus certificate of occupancy) and ties the deadline to the Closing Date, with the June 15, 2026 date described. Section 14.1(h) makes failure an Event of Default; Section 14.3(e) permits Lender, in its sole discretion and on 30 days' prior request, to extend by up to 90 days for force majeure where Borrower has funded its share and no other Event of Default exists. Section 14.3(e) is an addition (the Term Sheet has no extension right) and is listed in Part IV. *Action.* Confirm the extension right. Note that the Market has historically been unable to procure long-lead elevator equipment on schedule — the budget detail itself describes the elevator as "long-lead equipment; order placed at closing, installation months 4–9" — so a 90-day forced extension right is realistic risk allocation, not a concession of value.

H.6 — Foreclosure mechanics: judicial only. The draft says so explicitly and avoids a common error. *Source:* Kit's notes, ¶6 ("South Carolina is a judicial foreclosure state with no power of sale. The mortgage should not purport to grant a power of sale."). *Observation.* Template mortgages frequently include a power-of-sale provision borrowed from another state. Recording such an instrument in Charleston County creates an argument that the mortgage is a deed of trust in substance and invites a challenge to the foreclosure. *Treatment.* Section 15.2 of the Mortgage states affirmatively that South Carolina is a judicial-foreclosure state, that the Mortgage does not grant a power of sale, and that foreclosure shall be by action in the courts of the State of South Carolina. Section 15.1(b) frames foreclosure as "an action for the foreclosure of this Mortgage and the sale of the Mortgaged Property under the supervision of the court." No power of sale appears anywhere in the instrument. *Action.* None. Note, however, that Section 15.5 preserves the "election-of-remedies" and "one-satisfaction" rules by reference rather than by reciting them, because the South Carolina position on a mortgagee's ability to pursue a deficiency judgment after foreclosure and on the fair-value credit is a matter we should confirm with local counsel before the first default rather than draft blind. Recommend a short South Carolina opinion at closing that covers foreclosure mechanics, the assignment of rents and the enforceability of the yield maintenance formula.

H.7 — Late charge and default rate are consistent with the Term Sheet. *Source:* Term Sheet §3.7 (Default Rate = applicable rate + 5.00%); §3.11 (late charge 5% after 10 calendar days). *Observation and treatment.* Sections 14.4 and 14.5 of the Mortgage reproduce both. Section 14.5 adds the standard recitals that the late charge is a reasonable estimate of administrative expense and not a penalty, which is the language South Carolina courts look for. The usury savings clause is at Section 17.4. *Action.* None. With a floor rate of 5.85% and a default rate of 10.85%, the default rate is below any plausible South Carolina criminal-usury threshold; the savings clause is protective only.

H.8 — Lease-up reporting is an addition. *Source:* Not in the Term Sheet. Derived from the Appraisal §3.2 and §6.3 (ROFR delaying absorption) and the Rent Roll, Vacancy Schedule ("AGGRESSIVE TIMELINE"). *Observation.* With 43.87% of the building vacant and a two-stage lease-up, the Bank's principal monitoring need

between closing and the first DSCR test is leasing progress. *Treatment.* Section 11.6 of the Mortgage requires a quarterly leasing status report whenever occupancy is below 90%, covering marketing efforts, prospects, letters of intent and the status of the Bay 2 ROFR. *Action.* Confirm; listed in Part IV. Cost to Borrower: negligible.

I. Closing Conditions, Documentation and Process

I.1 — The Term Sheet's conditions precedent omit three items the Mortgage depends on. *Source:* Term Sheet §12.1(a)–(n). *Observation.* The checklist omits (i) the Operating Agreement Amendment (required in substance by Term Sheet §10.1(g) but not listed in §12.1); (ii) evidence of Guarantor's net worth and liquidity in a form the Bank can rely on (the Term Sheet takes Guarantor's net worth as "approximately $28,000,000" without requiring verification); and (iii) a sources-and-uses statement (see D.4). *Treatment.* Section 7.11 of the Mortgage makes the Operating Agreement Amendment and evidence of Tidewater GP Holdings LLC's authority conditions precedent to the Initial Advance. Section 11.3(b) requires Guarantor's annual personal financial statement post-closing. *Action.* Add all three to the closing checklist, which appears at Part VII.

I.2 — Legal opinions, good standing and authority. *Source:* Term Sheet §12.1(g)–(h); Title Commitment Requirement 8. *Observation.* The opinion required by §12.1(h) covers organization, authorization, enforceability and absence of conflicts. It does not cover the specific matters this transaction raises: the enforceability of the absolute assignment of rents, the validity of the Mortgage's lien on Parcel Two (a quitclaim parcel), the enforceability of the yield maintenance formula, or the foreclosure mechanics referenced at H.6. *Treatment.* The Mortgage does not create opinion obligations; they are a closing condition. *Action.* Ask Borrower's counsel to expand the opinion to cover those four points, or obtain a separate South Carolina opinion for the Bank at Borrower's expense (Term Sheet §13.2(a) permits Lender's legal fees to be borne by Borrower). Recommend the latter: a lender's counsel opinion on yield maintenance and the assignment of rents is worth having in the file.

I.3 — Loan committee exceptions must be documented. *Source:* Kit's notes, closing note ("coordinate with Marcus on whether the bank's loan committee or board has approved any exceptions to standard underwriting guidelines for this loan. The as-is LTV runs a little hot."). *Observation.* As-is LTV is 81.04% against a customary 65%–75% range; the DSCR covenant fails at any plausible NOI (D.1); the as-stabilized value is not supported by the income approach (D.2); 43.87% of the building is vacant; and the principal tenant for 9,800 square feet is a consulting firm whose lease expires in 2029. If the loan has been approved on exception, the file should say so, and the exceptions should be listed in the Bank's closing memo. *Action.* Written confirmation from Marcus for the credit file. This memorandum cannot close that item.

I.4 — Recording, exhibits and internal consistency. *Observation.* The Mortgage will be recorded in the RMC Office for Charleston County with documentary stamps of $54,575 (Section 17.11). It contains four exhibits (legal

description, permitted exceptions, renovation budget and draw schedule, rent roll). Every Section reference in the draft has been checked against its heading (203 Section references, of which 200 resolve internally and 3 refer to sections of the Term Sheet, which were separately checked); every Article reference resolves; and the Term Sheet section references (3.6, 5.5, 5.6, 8.3, 12.1, 13.2) have been checked against the executed Term Sheet. *Action.* Confirm the notarial form for South Carolina (acknowledgment, not jurat) with Prestige Title before execution, and confirm whether the County requires the parcel identification numbers to appear on the first page of the recorded instrument (they appear in the granting clause at Section 2.2 and in Exhibit A).

Priority Register

Priority	Ref	Issue	Consequence if unresolved	Action and owner
A	D.1	1.25x DSCR covenant unachievable (0.55x at best case, 0.72x interest-only)	Loan defaults at the first test date; covenant has no credit function	Bank decision: amend Term Sheet or add cure mechanism — Marcus / Kit
A	D.2	Appraisal income approach implies 1.87% and 2.50% cap rates against concluded values	As-stabilized LTV of 62.77% is unreliable; credit approval rests on an unsupported value	Obtain full appraisal and addenda; consider review appraisal — Marcus
A	D.4	Sources and uses leave $352,075 of quantified closing costs and reserves unfunded	Equity contribution inadequate; purchase price may be short at closing	Confirm funding plan — Marcus / Borrower's counsel
A	D.3	Occupancy stated as 68% in Term Sheet and appraisal; 56.13% verified; in-place rent stale	Credit file and any investor presentation overstate performance by 12 points	Correct file; obtain ledgers — JV / Borrower's counsel
A	G.1	Payment guaranty covers 14 months against a 24-month interest-only period	Ten unguaranteed months across the pre-stabilization window	Extend guaranty to month 24 — Marcus
A	F.1–F.2	Operating Agreement contains no independent manager, separateness covenant or bankruptcy consent	SPE representation in Section 6.4 cannot be given truthfully at closing	Operating Agreement Amendment, all three Members — JV / Borrower's counsel
A	C.3	Lowcountry Lease has no assignment or consent provision	Enforcement of the rent assignment may be resisted; no estoppel obligation	Hard closing condition; obtain estoppel early — Marcus / JV
A	A.1	Anson Lane conveyed by quitclaim; insurer reserves right to limit coverage	Weakest link in collateral chain; strip carries rear access	Written coverage confirmation from Prestige Title; ALTA 34 — JV
A	E.1, E.3	Yield maintenance: markup notes omit the 1% floor and relocate the 50 bps spread	Premium understated by up to 1% of principal, or formula challenged as ambiguous	Bank decision; conform Note — Kit / Marcus
B	H.4	No indirect transfer or change-of-control restriction in Term Sheet or Operating Agreement	Guarantor may sell the 72% managing member without consent	Add Section 9.2(c)–(d) language — Bank approval (Part IV)

Priority	Ref	Issue	Consequence if unresolved	Action and owner
B	D.5, D.10	TI/LC costs budgeted three times; GC Contract scope inconsistent with line items	Draw allocations and lease-up economics unreliable	Reconcile with Borrower; obtain executed GC Contract — JV
B	A.4	Survey at the 90-day recertification limit; standard exceptions must be removed	Title policy will not issue clean	Order re-certified survey now — JV / Prestige Title
B	A.8	Two FEMA panels cited; $5,000,000 flood requirement exceeds NFIP commercial limits	Insurance condition cannot be satisfied through NFIP alone	Confirm current FIRM; bind private/excess flood — Marcus
B	B.1, B.5	LUR and vapor barrier covenants; SCDHEC file not obtained	Environmental Indemnity may not satisfy Title Requirement 6	Obtain SCDHEC file and draft Environmental Indemnity — JV
B	A.3	Balcony encroachment insured only negatively; no permit in record	City-ordered removal triggers unbudgeted façade cost	Confirm permit; ALTA 28.1 — JV / Borrower's counsel
B	D.6	DSCR test date stated as April 15, 2027 (internal) and June 30/July 15, 2027 (Term Sheet)	Lease-up analysis and covenant date out of alignment	Confirm certification convention — Marcus
B	G.2	Three guaranties described; one instrument required by title	Title Requirement 7 unsatisfied if structure is unclear	Confirm structure — Kit
B	F.4, F.5	Tidewater GP authority unverified; registered agent name inconsistent	Conditions precedent in Commitment Requirement 8 may fail	Obtain GP authorization; confirm SOS record — JV
C	D.8	Draw schedule overruns budget by $5,000; borrower equity $905,000 v. $900,000	Draw schedule does not foot	Correct with Borrower — JV
C	D.7	Monthly payment $93,500 v. $93,674; interest $863,375 v. $862,875	Minor understatement of required coverage	Correct credit file — JV
C	C.6	Bay 3 renewal notice due December 31, 2025; lease expires June 30, 2026	Rollover risk at the first test period	Monitoring covenant — Bank decision
C	H.1	Net worth/liquidity tested on Borrower (Term Sheet) or Guarantor (markup notes)	Test applied to the wrong party has no credit function	Confirm — Marcus
C	F.6	Operating Agreement requires reviewed statements; Term Sheet requires audited	Reporting default risk in year one	Amend in Operating Agreement Amendment — Bank decision
C	E.6, E.7	Casualty, condemnation and acceleration applied at par	Potential loss of premium on involuntary prepayment	Confirm — Marcus

PART IV — PROVISIONS IN THE DRAFT THAT ARE NOT IN THE TERM SHEET

The following provisions are additions or tightenings relative to the Term Sheet and require the Bank's written approval before the draft is released. Each is drafted to be deletable without disturbing the rest of the instrument.

#	Provision	Mortgage section	Reason	Recommendation
1	Indirect transfer and change-of-control restrictions, including transfers of equity in a Member and a 51% GDG floor	9.2(c), 9.2(d)	Term Sheet §10.3 captures only direct membership transfers; the Operating Agreement has no change-of-control provision	Approve. Without it the principal exit route (a sale of the managing member's equity) is unrestricted
2	Distribution lock-up while DSCR is below 1.10x	11.1(d), 9.6	Term Sheet is silent; protects the net worth and liquidity tests from being funded away	Approve
3	Quarterly leasing status report while occupancy is below 90%	11.6	43.87% vacancy and a ROFR-constrained lease-up	Approve; no cost to Borrower
4	Lender consent for change orders and budget revisions, including any Bay 1 slab work	12.4(g)	Term Sheet §8.4 does not address change orders	Approve; carve out change orders funded from contingency that do not increase total cost
5	Vapor barrier acknowledgment by contractors and SCDHEC pre-notice as a draw condition	12.4(h)	Phase I ESA §6(c) and Title Commitment closer note 1	Approve; no credit cost
6	90-day force majeure extension of the Substantial Completion Deadline, in Lender's sole discretion	14.3(e)	Long-lead elevator and HVAC equipment; Term Sheet has no extension right	Approve; exercise remains discretionary
7	10-business-day cure for an insurance lapse caused solely by insurer cancellation or non-renewal, once per term	14.3(f)	Term Sheet excludes insurance defaults from the cure regime; a lapse is rarely the Borrower's act	Approve, or delete to follow the Term Sheet strictly
8	Borrower certification of the DSCR within 45 days after each Test Period	11.1(b)	Term Sheet describes a July 15, 2027 test date that is 15 days after quarter end	Approve
9	Casualty, condemnation and acceleration proceeds applied at par with no premium	10.7, 10.8, 13.5	Term Sheet is silent; markup notes ask for confirmation	Approve (majority market position)
10	Net worth test excludes any Property value above the then-current appraisal	11.2	Prevents Borrower from satisfying the test by revaluing its only asset	Approve
11	No defeasance and no reborrowing of prepaid amounts	13.6	Term Sheet is silent; prevents an argument that a release of collateral is available	Approve

#	Provision	Mortgage section	Reason	Recommendation
12	Standard title exceptions that are not removed will not be Permitted Exceptions	Exhibit B, item 7	Template would otherwise treat all Schedule B-II items as permitted	Approve; it is the only way to enforce Term Sheet §12.1(b)
13	Surveyor’s metes-and-bounds description supersedes Exhibit A on delivery without amendment	Exhibit A note	Term Sheet §2.1 requires the survey description to be incorporated	Approve
14	Guarantor’s consent to the Mortgage expressly does not expand his obligations	Signature pages; 16.2	Prevents an argument that the consent extends recourse	Approve
15	Contractor and design professional consents to the collateral assignment of the GC Contract and related agreements	2.4	Required to make the assignment effective against the contractor	Approve and add to the closing checklist

PART V — INDEPENDENT RECOMPUTATIONS

Every figure used in the Mortgage and in this memorandum has been recomputed from source components. The table records 24 checks: 15 agree with the source documents and 9 do not.

#	Check	Source figure	Recomputation	Result
1	Loan amount = Initial Advance + Renovation Holdback	$14,750,000	$12,500,000 + $2,250,000 = $14,750,000	Agrees
2	Total Project Cost	$20,950,000	$17,800,000 + $3,150,000 = $20,950,000	Agrees
3	Borrower equity as percentage of Total Project Cost	29.6%	$6,200,000 ÷ $20,950,000 = 29.59%	Agrees
4	Renovation Budget total	$3,150,000	$1,200,000 + $475,000 + $625,000 + $550,000 + $300,000 = $3,150,000	Agrees
5	Holdback and equity allocations	$2,250,000 / $900,000	$850,000 + $375,000 + $425,000 + $450,000 + $150,000 = $2,250,000; $350,000 + $100,000 + $200,000 + $100,000 + $150,000 = $900,000	Agrees
6	Loan-to-value, as-is	81.04%	$14,750,000 ÷ $18,200,000 = 81.04%	Agrees
7	Loan-to-value, as-stabilized	62.77%	$14,750,000 ÷ $23,500,000 = 62.77%	Agrees
8	Loan-to-cost	70.41%	$14,750,000 ÷ $20,950,000 = 70.41%	Agrees
9	Origination fee	$147,500	1.00% × $14,750,000 = $147,500	Agrees
10	Documentary stamp tax	$54,575	($14,750,000 ÷ $500) × $1.85 = 29,500 × $1.85 = $54,575 (0.37%)	Agrees
11	Capital replacement reserve	$645.83/month	$0.25 × 31,000 SF = $7,750; ÷ 12 = $645.83	Agrees
12	Maturity and payment count	April 15, 2030	5 years from April 15, 2025 = April 15, 2030; payments May 15, 2025 to April 15, 2030 = 60; interest-only May 15, 2025 to April 15, 2027 = 24	Agrees
13	Substantial Completion Deadline	June 15, 2026	April 15, 2025 + 14 months = June 15, 2026	Agrees
14	Security deposits held	$69,183	$18,050 + $15,200 + $35,933 = $69,183	Agrees
15	Weighted average remaining lease term	3.07 years	(3,800 × 2.708 + 3,800 × 1.208 + 9,800 × 3.958) ÷ 17,400 = 3.085 years	Agrees
16	Annual interest at floor rate	$863,375 (rent roll)	$14,750,000 × 5.85% = $862,875	**Disagrees — $500**
17	Monthly payment, 25-year amortization at 5.85%	$93,500/month; $1,122,000/year (rent roll)	Payment factor 0.0063514 → $93,674/month; $1,124,082/year	**Disagrees — $174/month**
18	DSCR covenant feasibility	1.25x required	Required NOI: $1,078,594 (interest-only) / $1,405,103 (amortizing). Best-case pro forma NOI $622,772 → 0.72x / 0.55x. In-place NOI $320,100 → 0.37x / 0.28x	**Disagrees — covenant not achievable**

#	Check	Source figure	Recomputation	Result
19	In-place annual rent	$415,100	Components recompute ($108,300 + $91,200 + $215,600), but both the Lowcountry and Harmon & Wren rents are stated before their last scheduled escalation; rent in effect April 15, 2025 is approximately $422,986	**Disagrees — overstated escalation**
20	Occupancy	68% (Term Sheet §2.3; Appraisal §1 and §3.1)	17,400 SF occupied ÷ 31,000 SF = 56.13%. The appraisal's supporting figures (21,400 SF occupied; 13,600 SF vacant = 32%) total 35,000 SF and do not reconcile to 31,000 SF	**Disagrees — 56.13% verified**
21	DSCR test date	Term Sheet: quarter ending June 30, 2027 (described as July 15, 2027); rent roll and markup notes: April 15, 2027	Cannot be reconciled; three positions in the record	**Disagrees — see D.6**
22	Draw schedule totals	$3,150,000 budget; $900,000 equity	Draw schedule cumulative total $3,155,000; borrower equity $905,000; remaining equity shown as ($5,000)	**Disagrees — $5,000 overrun**
23	Appraisal implied capitalization rates	6.25% as-is; 5.85% stabilized	$340,000 ÷ $18,200,000 = 1.87%; $587,000 ÷ $23,500,000 = 2.50%	**Disagrees — see D.2**
24	GC Contract scope	$2,850,000 covering hard costs	Line Items 1–4 = $2,850,000, but Line Item 4's vendor is "Various (to be contracted per lease terms)" and Line Items 1–3 total $2,300,000	**Disagrees — scope unresolved**

Non-arithmetic reconciliations performed. In addition to the above: (a) every Section reference in the Mortgage (203, of which 200 resolve internally and 3 refer to Term Sheet sections) was checked against its heading and every Article reference against its Article title — all resolve; (b) every Term Sheet section reference in the Mortgage (3.6, 5.5, 5.6, 8.3, 12.1, 13.2) was checked against the executed Term Sheet — all resolve; (c) the registered agent name differs between Term Sheet §1.2 and Operating Agreement Summary §1.3; (d) the FEMA panel numbers and effective dates differ between Appraisal §2.1 and Phase I ESA §2; (e) the property address convention (520, 534, and 520–534 King Street) is used consistently across the Term Sheet, title commitment, rent roll and leases for the three bays; and (f) the survey dated January 15, 2025 falls exactly 90 days before an April 15, 2025 closing, the outer limit under Title Commitment Requirement 9.

PART VI — OPEN ITEMS AND MISSING DOCUMENTS

#	Item	Why it matters	Owner	Needed by
1	Promissory Note (draft or executed form)	Interest mechanics, exculpation and the prepayment formula all reside in the Note; Article XIII defers to it	Kit	Before circulation
2	Guaranty Agreement (or the three guaranty instruments)	Recourse structure; Title Requirement 7	Kit	Before circulation
3	Environmental Indemnity Agreement	Title Requirement 6 requires specific CREC/LUR provisions	Kit	Before circulation
4	Operating Agreement Amendment (draft)	Article VIII requires it; Section 6.4 represents it	JV	Ten days before closing
5	Full unredacted Operating Agreement, including exhibits and the March 1, 2025 amendment	Compliance with SPE requirements cannot be confirmed from the redacted summary	Borrower’s counsel	Ten days before closing
6	Limited partnership agreement of Tidewater, or GP authorization certificate	Authority to bind Tidewater to the Operating Agreement Amendment	Borrower’s counsel	Ten days before closing
7	Executed GC Contract with schedules, exhibits and change orders	Term Sheet §12.1(l); scope reconciliation (D.10)	Borrower	At closing
8	Certified ALTA/NSPS survey with metes-and-bounds description and Table A items 1, 2, 3, 4, 6(a), 6(b), 8, 9, 11, 13, 14, 16 and 19	Title Requirement 9; Exhibit A; encroachment depiction	Borrower / surveyor	Ten days before closing
9	Re-certified survey within 90 days of closing	Title Requirement 9	Borrower / surveyor	At closing
10	Pro forma title policy and endorsements (28.1 survey/encroachment; 34 identified exception; zoning; access; comprehensive; future advance)	Term Sheet §5.6; A.1; A.3	Prestige Title	At closing
11	Written confirmation of coverage terms and premium for Parcel Two	A.1	Prestige Title	Two weeks before closing
12	Tenant estoppels and SNDAs from all three tenants, Lowcountry estoppel being non-waivable	Term Sheet §12.1(j)–(k); C.3; C.5	Borrower / Bank counsel	Two weeks before closing
13	SCDHEC remediation file for Site ID SC-29403-0772, including the NFA letter and all conditions	Phase I ESA §6(a); B.5	Borrower	Ten days before closing
14	Copy of the January 22, 2025 Phase II waiver correspondence	B.4	Clearfield / Marcus	At closing
15	Guarantor’s personal financial statement and verification of the approximately $28,000,000 net worth	Term Sheet §1.3 takes net worth at face value; the payment and completion guaranties depend on it	Guarantor	At closing
16	Evidence of the $6,200,000 equity contribution and a sources-and-uses statement including closing costs	D.4	Borrower / Bank	At closing

#	Item	Why it matters	Owner	Needed by
17	Certificates of insurance for all coverages required by Article X, including builder’s risk and private or excess flood	Article X; A.8	Borrower	At closing
18	Evidence of any City of Charleston encroachment license for the balcony, or confirmation that none exists	A.3	Borrower	At closing
19	Borrower’s counsel legal opinion, expanded to cover the assignment of rents, title to Parcel Two, the yield maintenance formula and foreclosure mechanics	I.2	Borrower’s counsel	At closing
20	Written confirmation of loan committee or board exceptions to underwriting guidelines	I.3	Marcus	At closing

PART VII — CLOSING CHECKLIST

Conditions precedent under Term Sheet §12.1, with the additions recommended in this memorandum marked "**+**".

Ref	Condition	Status per record	Note
12.1(a)	Execution and delivery of all Loan Documents (Note, Mortgage, Assignment of Leases and Rents, Environmental Indemnity, Guaranty, UCC-1)	Mortgage drafted; others not in record	The assignment of leases and rents is incorporated in the Mortgage by election under Term Sheet §5.2, so a separate instrument is not required
12.1(b)	Title commitment and pro forma lender's policy, fee simple vested in Borrower, first-priority lien in $14,750,000	Commitment received effective February 28, 2025; pro forma policy not in record	Standard exceptions must be removed (A.4); Parcel Two coverage must be confirmed (A.1)
12.1(c)	Satisfactory Phase I ESA	Received January 28, 2025; one CREC, no RECs	Phase II waived January 22, 2025 per ESA §6 (B.4)
12.1(d)	Satisfactory appraisal conforming to USPAP and FIRREA	Received February 14, 2025	Income approach does not support conclusion (D.2); review appraisal recommended
12.1(e)	Current ALTA/NSPS survey	Dated January 15, 2025; not in record; must be re-certified (A.4)	90-day limit expires April 15, 2025
12.1(f)	Evidence of all required insurance	Not in record	Includes builder's risk and $5,000,000 flood, which NFIP cannot supply alone (A.8)
12.1(g)	Organizational documents and good standing certificates	Redacted summary only; full agreement not in record	Registered agent discrepancy (F.5)
12.1(h)	Borrower's counsel legal opinions	Not in record	Expand per I.2
12.1(i)	Payment of origination fee, closing costs and Lender's legal fees	Not in record	Sources and uses shortfall (D.4)
12.1(j)	Estoppels from all three tenants within 30 days of closing	Not in record	Lowcountry estoppel non-waivable (C.3)
12.1(k)	SNDAs from all three tenants	Not in record	Two of three leases contractually require subordination (C.5)
12.1(l)	Complete executed GC Contract with schedules, exhibits and amendments	Not in record	Scope reconciliation (D.10)
12.1(m)	Borrower's equity contribution of $6,200,000 or evidence of funding	Not in record	Amount may be insufficient once closing costs are included (D.4)
12.1(n)	Such other documents as Lender may require	—	Captures the items below
+	**Operating Agreement Amendment executed by all three Members and by Tidewater GP Holdings LLC**	Not in record; not listed in Term Sheet §12.1	Required in substance by Term Sheet §10.1(g); Mortgage §7.11 (F.1–F.4)
+	**Evidence of Tidewater GP Holdings LLC's authority to bind Tidewater**	Not in record	F.4

Ref	Condition	Status per record	Note
+	**Sources-and-uses statement including closing costs and the $150,000 reserve**	Not in record	D.4
+	**Guarantor financial verification (net worth and liquidity)**	Not in record	Part VI, item 15
+	**Title endorsements: 28.1, 34 (Parcel Two), zoning, access, comprehensive, future advance**	Not in record	A.1, A.3, A.4
+	**Complete SCDHEC file and confirmation that the Environmental Indemnity addresses the LUR and the Vapor Barrier**	Not in record	B.1, B.5
+	**Written confirmation of loan committee exceptions**	Not in record	I.3
+	**Contractor and design professional consents to the collateral assignment of the GC Contract**	Not in record	Part IV, item 15

PART VIII — NEXT STEPS, ASSUMPTIONS AND LIMITATIONS

Next steps.

1. **Before circulation.** Resolve the three Priority A credit items (D.1, D.2, D.4) with Marcus, and confirm the yield maintenance position (E.1, E.3). Add the requested statutory citation to Section 4.2 (C.2). Approve or delete the fifteen Part IV provisions. Obtain drafts of the Note, the Guaranty and the Environmental Indemnity so that the three documents can be conformed (E.5, G.2, G.3, G.4).
2. **Within one week.** Send Prestige Title the Parcel Two coverage request and the re-certification request (A.1, A.4). Ask Borrower's counsel for the unredacted Operating Agreement, the March 1, 2025 amendment, the Tidewater GP authority documentation, the executed GC Contract and the SCDHEC file (Part VI, items 5, 6, 7, 13). Start the estoppel and SNDA circulation, with Lowcountry first (C.3).
3. **Before the Operating Agreement Amendment is circulated.** Confirm with Borrower's counsel that the Amendment will address the purpose clause, the separateness covenants, the Independent Manager, the bankruptcy consent, the Major Decisions list and the reporting standard (F.1–F.3, F.6).
4. **At closing.** Conform the parenthetical dates in Recital C, Sections 13.2 and 13.3 to the actual Closing Date; pay documentary stamps of $54,575; record the Mortgage and file the UCC-1 financing statement with the South Carolina Secretary of State and the fixture filing with the RMC Office; deliver the Guarantor's consent in recordable form with a South Carolina acknowledgment.

Assumptions made in preparing the Mortgage. (a) The Loan is interest-only for 24 months and then amortizes over 25 years, per Term Sheet §3.9. (b) The Loan is non-recourse to Borrower except for the five carve-outs in Term Sheet §5.5(a), with recourse governed by the Note and the Guaranty, neither of which has been reviewed. (c) The Note will contain a prepayment formula consistent with Article XIII, or will be conformed to it. (d) The general contractor's executed contract covers the hard costs described in Line Items 1 through 4 at a contract sum of $2,850,000, subject to confirmation (D.10). (e) The three existing leases are in full force and effect on the terms stated in the lease abstracts, with the rent escalations described in those abstracts having been applied. (f) The legal description in Exhibit A may be superseded by the certified survey description without amendment. (g) The Property is in FEMA Zone X and the flood insurance requirement of $5,000,000 is contractual rather than federally mandated.

Limitations. This memorandum and the accompanying Mortgage are based on the documents listed in Part II. The Operating Agreement has been reviewed only in redacted summary form; the Phase I ESA only in executive summary form; the appraisal only in summary form without addenda; and the Note, Guaranty, Environmental Indemnity, UCC-1, survey, pro forma title policy and construction contract have not been reviewed at all. Conclusions as to those documents are provisional and must be revisited when the documents are available. Nothing in this memorandum addresses federal or state tax consequences, securities law, or

the Bank’s regulatory compliance (including FIRREA appraisal requirements, flood insurance regulations, or concentration and lending limits), which are matters for the Bank and its own compliance function. Figures in this memorandum are computational checks, not valuations.

One further observation. The Loan as documented is a value-add, non-recourse, interest-only facility on a 56% occupied building with a lease-up covenant that the building cannot satisfy and a guaranty that expires before the risk period ends. Each of those features is defensible on its own; together they mean the loan’s performance depends on lease-up proceeding faster than the appraiser and the Borrower’s own adviser projected. If the Bank’s loan committee approved this on the strength of the 62.77% as-stabilized loan-to-value ratio, it should be told that the ratio is not supported by the appraisal’s own income analysis (D.2) and that the covenant intended to monitor the risk cannot be met (D.1). Those two points should be put in writing to Marcus before the documents are signed, and I would recommend they be raised at the same time the Term Sheet amendments contemplated in D.1 and G.1 are discussed. The file should record that they were raised.